ECONOMIC SURVEYS BY THE OECD

JAPAN

JULY 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

JAPAN

BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	369.7
Agricultural area (1,000 sq.km.)	60.7
Forest (1,000 sq.km.)	254.0

Population of major cities (1963):

Tokyo	8,733,000
Osaka	3,197,000
Nagoya	1,859,000
Yokohama	1,590,000

THE PEOPLE

Population (1963)	96,160,000
No. of inhabitants per sq.km.	260
Net natural increase in population. Annual average 1955-1961	841,000
Net rate of natural increase per 1,000 inhabitants (average 1956-1961)	9.8
Net emigration (average 1956-1961)	18,000

Employment (1963)	46,130,000
Agriculture	12,960,000
Manufacturing, mining and construction	14,250,000
Other	18,920,000

PRODUCTION

Gross national product in 1962 (billion yen)	18,996
G.N.P. per head, 1962 (U.S. dollar)	554
Gross fixed investment, 1962:	
Percentage of G.N.P.	35
Per head (U.S. dollar)	192

Origin of net domestic income at factor cost, 1962:	
Agriculture	14 %
Manufacturing, mining and construction	39 %
Other	47 %

THE GOVERNMENT

Current government expenditures on goods and services, 1962 (percentage of G.N.P.)	9
Capital expenditures, 1962 (percentage of G.N.P.)	11
Current government revenue, 1962 (percentage of G.N.P.)	23
Central government debt, 1962 (percentage of Central Government tax revenues)	58

Composition of the House of Representatives (467 members on 20th December, 1963):	
Liberal Democratic Party	63 %
Democratic Socialist Party	5 %
Socialist Party	31 %
Communist Party	1 %
Independent	—

LIVING STANDARDS

Calories per head per day, 1962	2,080
Average hourly earnings of regular workers in manufacturing, 1963 (yen)	153
Electricity consumption, 1962 (thousand kWh per head)	1,280

No. of private cars per 1,000 inhabitants, 1963	13
No. of telephones per 1,000 inhabitants, 1961	67
No. of T.V. subscribers per 1,000 inhabitants, 1963	157

FOREIGN TRADE

EXPORTS

Exports of goods and services as a percentage of G.N.P., 1962	11
Main exports in 1963 (percentage of total exports):	
Food	5
Textiles	23
Chemicals	6
Machinery and transport equipment	27
Other metal products	17

IMPORTS

Imports of goods and services as a percentage of G.N.P., 1962	11
Main imports in 1963 (percentage of total imports):	
Food	16
Cotton and wool	12
Metal ores	11
Mineral fuels	18
Machinery	12
Other raw materials and chemicals	22

THE CURRENCY

Monetary unit: Yen

Currency units per U.S. dollar 360

ECONOMIC SURVEYS BY THE OECD

JAPAN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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JAPAN

INTRODUCTION

1. Modern history began for Japan with the assertion of effective power by the Emperor Meiji in 1868. In less than a century the Japanese economy has developed from an essentially agrarian and feudal structure to an advanced state of industrialisation. This development is all the more remarkable inasmuch as it occurred without serious social upheavals in a country which, from the point of view of natural resources and cultural tradition, was very far from the normal take-off point for the movement towards industrial capitalism. Japan has now the sixth largest gross national product in the world and ranks fifth as an exporter of manufactured goods. It was her growing importance in the economic world, and the resulting importance of associating her with the process of economic policy co-ordination between advanced western industrialised countries, that led to Japan becoming a full member of the O.E.C.D. on 28th April, 1964. This is the first of the Annual Economic Reviews that the Organisation will be making of the Japanese economy.

2. Japanese economic growth was already fast in the seventy years preceding the second world war. Since then it has been even faster. Since the war the Japanese economy has been growing faster than any other outside the Sino-Soviet bloc, and the rate of development has, indeed, been roughly comparable with that experienced in the Soviet Union in its most favourable years. There has, obviously, been an important element of post-war recovery in the Japanese growth rate; nevertheless, even after reconstruction can be said to have been completed the rate of increase remained virtually as high. Between 1953 and 1962 the average annual rate of growth of gross national product amounted to 9.4 per cent — very little less than the 10.9 per cent registered between 1946 and 1953. After a brief introduction summarising certain basic conditions in the Japanese economy, the second part of this survey attempts to analyse this unique growth experience and the factors contributing to it. The third part discusses long-term prospects, the aims and methods of the Ten Year Plan, and certain aspects of the growth policy which the Government is following. The fourth part indicates the types of business cycle policy followed by the Government, current problems and short-term prospects. The fifth part is concerned with Japan's external economic relations and her balance of payments.

I. STRUCTURE OF THE JAPANESE ECONOMY

3. Japan covers 370,000 square kilometres and has an extremely high density of population (257 inhabitants per square kilometer, compared with 216 in the United Kingdom, 302 in Belgium, and 342 in the Netherlands, the most closely-packed European countries). Natural resources are relatively scarce. Most raw materials and fuels have to be imported (iron ore, bauxite, cotton, wool, oil and rubber). Coal production covers less than 80 per cent of domestic needs; water power provides about half the present electricity output. The countryside is mountainous, and only 16 per cent of the area is cultivated. On the other hand, Japan has a long and very indented coast-line which has helped the development of a very important fishing industry. (In 1962 the fishing fleet consisted of 400,000 vessels and the fish catch amounted to some 6.9 million tons, and provided 65.5 per cent of animal protein consumption.)

4. At the last census (1960) the population amounted to 93,419,000 and is currently estimated at 96,160,000; during the past decade the average rate of increase has been about 1 per cent per year, substantially lower than before the war. The age structure of the population at present is very favourable, with 66.4 per cent in 1963 of the population falling between the ages of 15 and 64 years. But in the coming years, the weight of middle-aged and old persons is going to increase.

5. Rapid industrialisation has led to a massive movement of the population from agriculture to industry and services, with a growing drift to the towns. Some 28 per cent of the civilian labour force is now employed in agriculture, in industry 32 per cent (1 per cent in mining, 25 per cent in manufacturing and 6 per cent in construction) and the remaining 40 per cent in the service sector. Wage earners amount to 55 per cent of the labour force (against 40 per cent in 1953); unpaid family workers have fallen from 35 per cent to 24 per cent in the last ten years.

6. The relative importance of the primary sector has been decreasing continuously. In 1953 it represented 22 per cent of the gross domestic product, but by 1962 its contribution had fallen to 14 per cent; over the same decade employment in the primary sector fell from 16.7 to 13.7 million. Agricultural production is increasing quite fast — by 50.5 per cent between 1953 and 1962; but productivity is still low. The size of farms is very small: six million agricultural families occupy a similar number of hectares of arable land. Over four million families cultivate areas less than one hectare apiece, and only 100,000 families enjoy holdings above five hectares. The fragmentation of farm holdings was accentuated by the agrarian reform of 1947, which enabled farmers to purchase the areas they were then cultivating. (The number of tenant farmers now only amounts to 3 per cent of total agricultural families as against 29 per cent in 1946). The breaking-up of the large

holdings, the mountainous nature of the contryside and the difficulty of mechanising production in the rice fields have all served to slow down the modernisation of agriculture. Seen from the train the Japanese countryside is like a garden, intensely cultivated by a copious population. There is, in fact, considerable concealed unemployment in agriculture, although the effects of this are, to some extent, attenuated by part-time employment in industry; indeed, only one-third of the rural population is exclusively employed in agriculture. The main crops are rice (41 per cent of the total planted area in 1961), barley and wheat. Both as a reservoir of manpower and as a source of cheap food (yields per hectare are high and farm incomes low) agriculture has been playing an important contributory role in Japan's industrial development. Japanese fisheries employed 580,000 persons in 1962 and produce by far the largest fish catch in the world (accounting for some 2.3 per cent of the gross national product).

7. Industry's contribution to the gross domestic product has been steadily increasing — from 29 per cent in 1953 to 34 per cent in 1962. Since the war the metal-working industries have been developing particularly fast, accounting for 31.5 per cent of total value added in manufacturing in 1958, compared with 23.9 per cent in 1953 (28.5 per cent in 1938). Although the chemical industry has also developed considerably, its relative importance in 1958 was still lower then before the war (12.5 per cent instead of 14.4 per cent) and the relative importance of textiles has fallen sharply and now only amounts to around 10 per cent (instead of 18.1 per cent in 1938); the same is true of the basic metal industries (10 per cent in 1958 instead of 14.9 per cent in 1938). Machine tools, refrigerators, radio and television sets, automobiles and precision instruments have shown the most spectacular development. Shipbuilding was one of the first industries to develop and Japan at present leads the world; even though production costs are about as high as elsewhere, the Japanese are able to maintain a dominant position because of quick deliveries. The chemical industry, previously concentrated on fertilizers, has developed strongly in the fields of synthetic textiles and rubber, and petro-chemicals. It is the textile industry which has developed the least of all, despite the switch-over towards synthetic goods (which now account for over 50 per cent of total output instead of 30 per cent pre-war). Silk production is running at only half its pre-war level because of the fall in world demand.

8. Japan is a country of many small firms working alongside a few giants. In 1959 about 98 per cent of the total number of firms in manufacturing employed less than 100 workers each and, between them, accounted for 56 per cent of total industrial employment; the share of these firms in total manufacturing value added did not exceed one-third (see Tables 3 and 6). Ninety-five per cent of all firms had a paid-up capital of less than five million yen[1] in 1955 and accounted

1. 360 yen equal one United States dollar.

for only 25 per cent of total assets. The 191 biggest firms (those having a paid-up capital of over one billion yen) held more than 50 per cent of total assets[1]. The small firms are engaged in a wide range of activities — clothing, footwear, furniture, plywood, pencils, metal toys and porcelain and lacquer, sewing machines, optical glass, umbrellas, pearls, watches, etc. Moreover, many of them produce machine tools, automobile parts, railroad and shipbuilding parts, and items of electrical equipment as sub-contractors for the big firms. The contrast between conditions in the big and the small firms is violent. The little firms use generally inferior and out-dated equipment, sometimes purchased second-hand from the big firm[2]. Output per worker in the small firms is low; in 1957, it was only one-third of that prevailing in the big firms. And this wide spread of productivity both explains and maintains the difference in wage levels between big firms and small. In 1957, for example, wages paid by firms with a paid-up capital of less than two million yen were only 38 per cent of those paid by firms whose capital exceeded 10 million yen. Lower wages are usually accompanied by a lower quality of man-power. The labour force of the small firms generally contains an important proportion of people under 25 years of age, or over 55. And for these small firms conditions for obtaining bank credit, including interest rates, are usually considerably more difficult than for the big firms. Many of the big firms are closely linked to the main banks, from whom they normally have little difficulty in obtaining credit. But the small firms have mainly to borrow from local banks, and when the local banks themselves lack funds, or find it advantageous to lend to the big banks during periods of tight money conditions, small firms are often driven to a critical situation[3]. The close links between the main banks and the big industrial firms were created, in their present form, after the war, when the de-cartelisation policy of the occupying authorities broke up the " Zaibatsu " or large combines. The banks were not broken up and the relations between them and the former " Zaibatsu " concerns continued in many instances. Thus it was that the banks, little by little, came to replace the pre-war holding companies, and this linking of the financial and the industrial sectors was encouraged by the fact that bank credit normally finances about half of industrial investment. Thus, now the financial institutions hold important proportions of the capital of the Mitsui, Mitsubishi, Sumitumo, and other industrial groups. The cohesion of these groups is enhanced by interlocking directorates and a cross-work of financial participations.

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1. In the United States the smallest firms (those with assets not exceeding $ 500,000) only represented 34 per cent of the total in 1953.

2. It is estimated that in 1957 firms with a paid-up capital of less than 2 million yen employed fixed capital amounting, on average, per person employed, to only 12 per cent of that employed by firms with capital of over 100 million yen.

3. The main banks are helped, by interventions by the Central Bank, to adjust themselves to changes in the supply and demands for funds; the local banks, however, usually adjust their positions by changes in their lending policies.

9. The tertiary sector continues to grow. Between 1953 and 1962 its employment rose from 33 per cent to 40 per cent of the total civilian labour force, but its contribution to the net domestic product rose only from 46.1 per cent to 46.9 per cent. An outlet for surplus labour, the tertiary sector, like agriculture, contains much hidden unemployment, and its productivity is very low.

10. Japan's gross national product per head is still well below that of most of the industrialised Member countries of the O.E.C.D. — $ 554 in 1962, compared with $ 2,939 in the United States, $ 1,579 in Belgium, $ 1,545 in France and $ 1,478 in the United Kingdom[1]. A remarkable aspect of the structure of Japan's gross national product is the extremely high proportion absorbed by fixed investment (34.7 per cent in 1962, compared with an average of 19.4 per cent for other O.E.C.D. Members). The proportion absorbed by private consumption represented only 52.4 per cent in 1962, compared with 62.8 per cent in other Member countries, and for public consumption Japan's percentage is as low as 9.2, compared with 17.3 per cent in other Members. An aspect not always recognised is that the share of resources absorbed by exports is rather lower in Japan than in other Member countries — 11.3 per cent as against 12.1 per cent in 1962. As in other countries, with the steady growth of personal income the pattern of private consumption expenditure has changed substantially in recent years, expenditure on food falling from 56 per cent in 1953 to 44 per cent in 1962, and with a rising proportion of total expenditure being devoted to services (from 23.6 per cent to 30.5 per cent), housing (from 11.4 per cent to 17.2 per cent) and, to a less extent, clothing (from 8.7 per cent to 9.1 per cent).

II. POST-WAR ECONOMIC GROWTH

Reconstruction (1945-1953)

11. The close of the second world war saw the Japanese economy virtually in ruins. One quarter of capital equipment was destroyed, industrial production was running at only one-third of the 1934-1936 level, agriculture was producing only 60 per cent of its pre-war output, and exports had practically disappeared; inflation and the black market were flourishing. The wholesale price index towards the end of 1945, was eight times as high as in 1934-1936. As in other countries, it was attempted to deal with extreme shortages of goods through a multitude of controls on prices, foreign trade, etc., and in the early stages the task of reconstruction was to some extent complicated by the political reforms which the occupation authorities introduced. It was not until

1. Indicative figures, calculated on the basis of official exchange rates, and therefore giving only a very general idea of relative orders of magnitude of real income per head.

1951 that the real gross national product rose above the level it had reached in the last three " normal " pre-war years (1934-1936); the same was true of industrial production. The end of the reconstruction period can probably best be fixed around 1952-53. It was then that real income per head regained its pre-war level, and the rigidities and controls inherited from the war and immediate post-war years disappeared. Moreover, it was in this period that the successive waves of inflation which had been provoked by the second world war, the reconstruction needs, and the Korean war were finally brought under control.

12. The era of reconstruction fell into three parts:

a) There was a galloping inflation from August 1945 to March 1949, which pushed the wholesale price index up from 1627 in 1946 to 20876 in 1949 (1934-36 = 100). The economy was running at a low rate and virtually isolated from the outside world. A number of steps had been taken, as early as 1945, to try and stabilise the situation (reform of the currency, restrictions on the use of bank deposits, increased taxation of capital, etc.) but the efficacity of these proved small. It was in these years that the occupation authorities introduced the agrarian reform, an antitrust law and social legislation.

b) With the arrival of Mr. J. M. Dodge, Economic Advisor to the occupation authorities, a period of disinflation began, and this lasted until the outbreak of war in Korea. A nine-point stabilisation plan was put into action in April 1949; this aimed at halting the inflation by a selective credit policy and by a reform of the public financial situation. It also established a single exchange rate (360 yen to the United States dollar). The result was a marked slowing down in the rate of price increases but a simultaneous deceleration of the growth of industrial production.

c) The Korean war soon led to a revival of activity, sparked off by large purchases by the American military authorities. Inflation revived in parallel. The wholesale price index rose by 39 per cent from December 1949 to December 1950 alone, because supply was unable to meet so large an increase of demand. In the course of 1952, however, the inflation receded, and wholesale prices in that year rose by only 2 per cent.

13. Since 1953 the Japanese economy has experienced an exceptionally high rate of growth, a remarkable stability of prices, and a considerable strengthening of the balance of payments; the gold and foreign currency reserves have risen appreciably. There have been three recessions during this period, 1954, 1957 and 1961, but these appear to have had little effect on the underlying growth rate, and the balance of payments difficulties which provoked them were quickly overcome. Table 1 compares certain leading economic indicators in Japan and other O.E.C.D. countries between 1953 and 1962. The effects of this growth rate on the pattern of employment and output in Japan, indicated briefly in paragraphs 5 to 10 above, are summarized in Table 2.

TABLE 1. ECONOMIC EXPANSION IN JAPAN AND OTHER COUNTRIES

1953 = 100.

	JAPAN	GERMANY	FRANCE	ITALY	THE NETHERLANDS	UNITED STATES	UNITED KINGDOM
G.N.P. per head	205	168[1]	140	161	132	110	120
Industrial production..	317	199	193	222	166	130	131
Wholesale prices.....	99.3	106.1	136.0	102.0	103.3	108.5	119.0
Consumer prices.....	127.8	118.3	144.7	123.3	127.0	113.4	130.7
Wages *(manufacturing only)*	176.5	194	213	169	203	137	170
Imports *(volume)*	273	354	216	304	224	156	143
Exports *(volume)*	429	273	205	377	207	124	131
Change in gold and foreign exchange reserves *($ millions)*.....	+ 928	+ 3,134	+ 2,781	+ 2,673	+ 824	− 6,034[2]	+ 282

1. Includes Saar.
2. Gold only.

TABLE 2. STRUCTURAL CHANGES BETWEEN 1953 AND 1962

Per cent.

	1953	1962
Proportion of civilian labour force:		
Agriculture	42	28
Industry	24	32
Services	34	40
Contribution to gross domestic product:		
Agriculture	22	14
Industry	32	39
Services	46	47
Dependently employed as percentage of total civilian employment.	40	55

SPONTANEOUS GROWTH FACTORS

14. The interpretation, in terms of economics, of a process combining so fast a growth rate and so high a degree of stability is necessarily tenuous. The following paragraphs seek to identify the main factors which seem to have played a role in this process. For ease of exposition a distinction is made between spontaneous factors and those resulting from the government's growth policy.

15. A preliminary question is, how far the Japanese growth can be explained by a " recovery " and/or a " recuperation " factor. It can be argued that, during an important part of the period examined, Japanese production was first regaining the level it had reached prior to the war and subsequently beginning to make-up the ground which it had lost, in the meantime, *vis-à-vis* other industrialised countries. This idea contains an element of truth but is far from giving a complete answer to the problem:

a) In 1953 gross national product per head was slightly higher than before the war, but only 50 per cent as high as compared with projections of the pre-war trend (4.6 per cent per year 1925-1939). And in 1963 it was still 12 per cent below that trend-line. But this, of course, raises the further question as to why Japan's pre-war growth rate was so very much higher than those in most other industrialised countries.[1]

b) Comparing 1938 and 1959, income per head in Japan had declined in relation to that in the United States, Germany, Italy, etc. The process of regaining its comparative pre-war position may also have been a factor serving to stimulate economic growth in Japan. But since, after this relative position had been restored (around 1962), economic growth has remained, and is expected to remain substantially faster than in other countries, this factor does not seem to offer more than a partial explanation of the phenomenon.

16. Any analysis of Japanese economic growth must consider the role played by the high level of productive investment. Gross fixed capital formation rose from 20.3 per cent of the gross national product in 1951 to 34.7 per cent in 1962 (both measured in current prices). In real terms, gross fixed capital formation rose by 320 per cent between 1953 and 1962, while gross national product and private consumption rose respectively by 124 per cent and 82 per cent. Moreover, the share of residential construction in the total of fixed capital formation is much less important in Japan than in other countries. It corresponded, in 1962, to only 8 per cent of the fixed capital formation, and 2.5 per cent of the gross national product. For the other O.E.C.D. countries combined, residential construction represents 25 per cent of the fixed capital formation and 4.5 per cent of the gross national product. In other words, productive investment proper is relatively more than twice as high in Japan (32 per cent of the gross national product) as in other O.E.C.D. countries (13.5 per cent of the gross national product, or 16 per cent if European O.E.C.D. countries only are considered).

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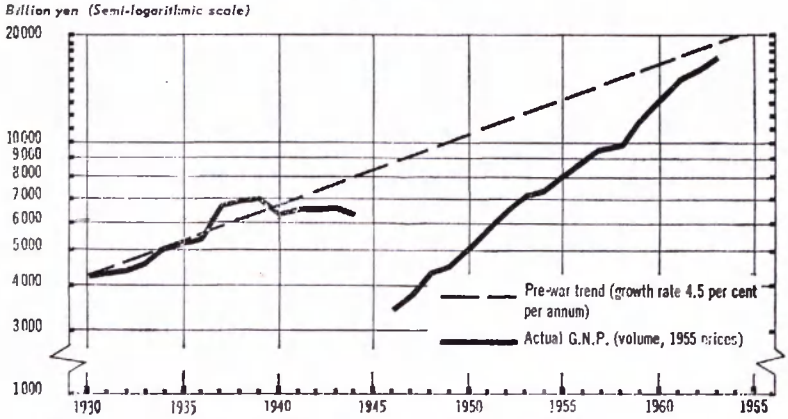
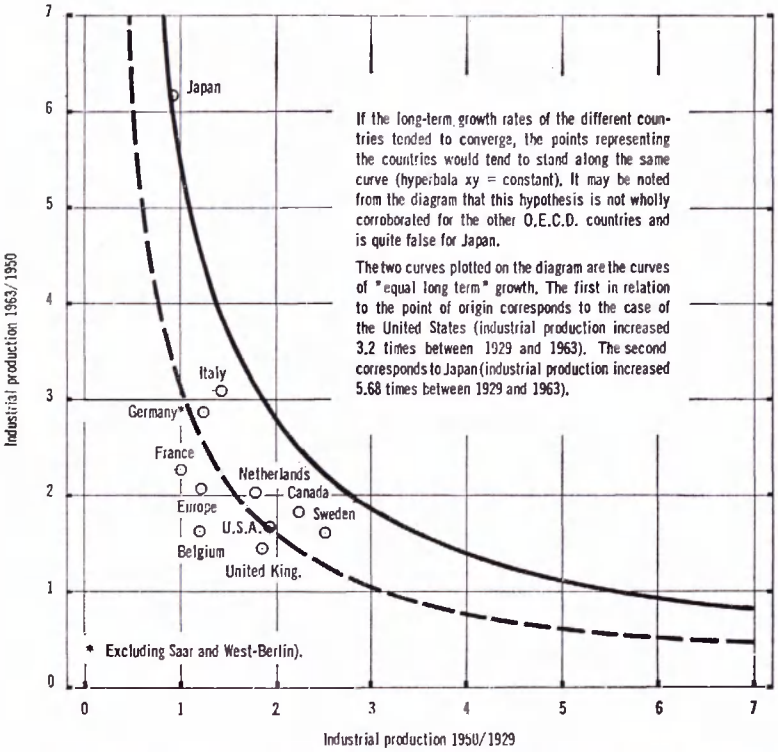
1. Comparisons on the basis of 1925-1939 are, at best, only partly satisfactory because that period was dominated by the effects of the great depression of 1929 in many other countries, while the Japanese economy was strongly stimulated by military expenditure. However, similar differences in growth rates between Japan and other industrialised countries are found even if a longer time-period is taken.

Diagram 1. **PRE-WAR G.N.P. TREND AND ACTUAL G.N.P., 1930-1963**



Source: Economic Statistics of Japan, 1962 and 1963.

Diagram 2. **IMPORTANCE OF "RECOVERY" IN POST-WAR GROWTH**



Sources: O.E.C.D. Statistical Bulletins; Economic Statistics of Japan, 1963; K. Ohkawa, "The Growth Rate of the Japanese Economy since 1878", p. 89; M. Shinohara, "Growth and Cycles in the Japanese Economy", p. 8.

17. One factor underlying this vast increase of investment to which attention should probably first be drawn, is the growth of business profits which made possible its financing. Profits in mining and manufacturing rose by 282 per cent between 1953 and 1962. The prices that firms paid for their raw materials — mainly imported — fell continuously; more important, however, was the fact that labour productivity rose substantially faster than wages. Between 1953 and 1962 the value added in mining and manufacturing rose, in current prices, by 222 per cent, and the total wage bill by only 175 per cent.

18. The increase of wage incomes, though less sharp than that of profits, was by no means low by the standards of other O.E.C.D. countries. The index of hourly earnings in manufacturing rose by 76.5 per cent between 1953 and 1962, or by 6.5 per cent a year. Allowing for a 27.8 per cent rise in consumer's prices over the same period, the average annual increase in real hourly earnings was about 3.6 per cent — a figure comparing favourably enough, from the point of view of rising living standards, with those found in most other countries. Nevertheless, the difference between the rates at which wages and productivity increased was marked, reflecting both relatively weak wage pressure and a particularly fast progress of productivity.

19. Wage trends have certainly been heavily influenced by the relative abundance of man-power. Between 1953 and 1961 the population of working age rose by nearly eight million persons or 15 per cent (1.8 per cent per year). And although open unemployment has always been low (averaging 1.2 per cent of the labour force between 1954 and 1962) hidden unemployment in agriculture has been particularly imporant. Hence the substantial movement of labour from agriculture to other types of employment; employment in the primary sector fell by 3 million (— 18 per cent) between 1953 and 1962 while industry and construction were able to increase their labour force by 4.5 million (+ 48 per cent); 4.9 million (+ 37 per cent) more persons found employment in services.

20. The effects on wage developments of the abundant supply of labour have probably been accentuated by certain aspects of the way in which wages are determined. In industry there is a high proportion of young workers who, by tradition, receive wages which may be up to 50 per cent lower than those received by older workers in the same occupations[1]. Moreover, wages have tended to have a certain flexibility because of the importance of bonuses linked to the prosperity or otherwise of the individual firm. Such bonuses (generally half-

1. In 1961 wages paid to workers under 18 years old were only 54.7 per cent of those paid to workers aged 20 to 24 years. On the other hand, wages paid to workers more than 50 years old were over 60 per cent higher than those paid in the 20 to 24 year age group. (Information drawn from a basic study of wage structures by the Ministry of Labour).

yearly) may be extremely low when business is weak and very substantial when profits are high. The system obviously makes for flexibility in labour costs — cf. the virtually negligible increases in earnings during the recessions of 1954-55 and 1957-58.

21. The other aspect making for higher business profits was the increase in productivity. In this respect one must first distinguish the effect of the shift of man-power from agriculture to industry, which substantially increased the productivity of the economy as a whole. Thus, between 1953 and 1962 the real gross national product rose by 123 per cent, the labour force by less than 16 per cent; in other words output per person employed rose, on average, by 7.6 per cent per year. But during the same period industrial production rose by 221 per cent and employment in mining and manufacturing by 44 per cent only, giving an average increase in productivity in this sector as high as ten per cent per year. Thus, to a substantial extent, the high *overall* rate of growth of productivity can be imputed to the shift of employment toward sectors where the absolute level of productivity was high and progress was particularly rapid.

22. The question should then be considered, why productivity inside industry rose so much faster in Japan than in any other industrial country between 1953 and 1963. Only to a small extent can this be explained through the switch of labour from small and medium firms to the big firms, where productivity of labour was already relatively high. As can be seen from Table 3, such movements of labour have, up to very recently, been negligible. Probably more important must have been inter-industry shifts, away from the traditional, slow growing sectors (e.g. textiles) toward the modern rapid growing ones (e.g. heavy machinery, chemicals, and electrical industries). Another factor favouring the rapid growth of productivity is the general quality of Japanese

TABLE 3. CHANGES IN INDUSTRIAL CONCENTRATION BETWEEN 1948 AND 1959

In percentage.

FIRMS EMPLOYING	NO. OF FIRMS		NO. OF EMPLOYEES		VALUE OF PRODUCTION	
	1948	1959	1948	1959	1948	1959
1 to 49	96.3	95.4	46.5	44.8	38.9	24.2
50 to 99	2.1	2.6	9.7	10.9	10.0	9.6
100 to 199	0.8	1.1	7.9	9.4	9.2	10.0
200 to 499	0.5	0.6	10.5	11.3	12.8	15.4
500 and more	0.3	0.3	25.4	23.5	29.0	40.8
	100.0	100.0	100.0	100.0	100.0	100.0

Sources: Japan Statistical Yearbooks 1953 and 1962.

labour, and in part at least this advantage can be linked to the general level of education. Even before the war Japan's school attendance record was good. By 1958 only 40 per cent of all children left school at the end of the obligatory nine year period of primary education; 45 per cent of them went through secondary education, and university education was enjoyed by 10 per cent of children of the appropriate age group.

23. It has been indicated that Japan's gross national product grew fast because investment was high, and that one condition for this high and rising level of investment was that productivity had been rising faster than wages. The reverse aspect of this functional relationship is also important: the high and rising level of investment itself helped to foster the great increase in industrial productivity. But the growth in productivity seems to have been substantially faster than the increase in industrial capital would warrant. It is therefore likely that even more important than the increase in the total *volume* of investment has been its *pattern* and *content*. In so far as international comparisons are possible, Japan's gross capital output ratio during the last ten years has been amongst the lowest (around 3 if house-building is included in gross capital formation). In other words, the yield of an additional unit of capital in terms of additional output seems to have been much higher in Japan that in other countries. A possible explanation of this may be that, since the end of the reconstruction period, industrial firms have more and more been concentrating their fixed capital expenditure on innovation, adapting their production methods as well as their lines of production to modern possibilities and needs. The importation of foreign techniques and know-how has played an important role in this respect, as witnessed by the big and growing number of agreements of technical co-operation between Japanese and foreign firms.

24. The continued growth of investment (its volume rose even during the recessions of 1953-54 and 1957-58) has fostered a growth of demand which, in its turn, has served to stimulate still more business investment. This " virtuous circle " seems to have been set in motion during the reconstruction period, when the 1949 reforms had become effective and when the Korean war was providing additional stimulus to the economy. The process is not peculiar to Japan, but certain aspects of it were rather special.

25. First, contrary to the general impression, exports have not played a particularly leading role in the growth of demand. It is true that exports of goods have expanded sufficiently fast (some 380 per cent in volume between 1953 and 1963) to enable rising imports to be financed without major lasting difficulties. The factors which have helped to achieve this are examined in paragraphs 80 to 83 below. But exports have not been a principal dynamic factor from the point of view of total demand for Japanese output; in relative terms, capital formation has been the most important source of dynamism. Between

1953 and 1962 total demand in current prices rose by 13.42 thousand billion yen, of which fixed capital formation accounted for 5.07. The increase in exports over this period amounted only to 1.26 thousand billion yen.

TABLE 4. INCREASE OF DEMAND 1953-1962
THOUSAND BILLION YEN, CURRENT PRICES

		%
TOTAL	13.42	100
Private consumption	5.74	42.8
Public consumption	1.07	8.0
Fixed capital	5.07	37.8
Exports of goods and services	1.26	9.4
Supplied by:		
Increase of G.N.P.	12.15	90.5
Increase of imports	1.28	9.5

26. For many years, then, Japan has been devoting an increasing proportion of its current output to the means of production. Obviously the process cannot continue indefinitely. And when the economy has to face the transition to an era in which investment, as a proportion of total national expenditure, ceases to grow, difficult problems for the capital goods industry, and for the economy as a whole, could arise[1]. The problem is discussed later in this survey.

27. An important condition for continued Japanese growth has been the maintenance of internal and external balance, despite the very strong expansion of demand. The remarkable aspect of the three occasions when this balance has been threatened has been the speed with which the economy has regained its growth trend after the authorities had been obliged to intervene with restrictive measures. The periods of stagnation have been short-lived indeed — within a few months expansion has generally regained its previous rate. This, no doubt, in part reflects the nature of the government's business cycle policies, which are examined at more length in paragraphs 57 to 66 below. But other factors have also been at work, deriving both from the behaviour of the business sector and from official growth policies.

28. Industrialists in Japan have always had a strong propensity to invest, and this has never, for very long, been weakened by phases when demand was stagnating or contracting. Commentators have sometimes suggested that, to Japanese business, the risk of excess capacity seems only very secondary to the need to maintain and increase existing market shares. Demonstration of this idea is virtually impos-

1. In 1953 the capital goods industries had a weight of 15 per cent in the industrial production index; in 1963, 22 per cent.

sible; a strong reaction of investment decisions to a given state of demand may reflect a conscious decision on the part of the individual firm to expand its share of the market, but may also be only the result of a perennially optimistic view of the future size of the market[1]. In any case, interpretation of such behaviour falls more in the field of sociological or psychological analysis, than in that of economics. From the strict economic point of view, however, investment behaviour has no doubt been influenced by the abundant man-power supply and the resulting favourable wage-profit situation, by the fact that except during brief periods of restrictive policies the supply of finance has always been plentiful and by the Government's resolute policy since 1952 of encouraging economic growth.

29. It seems clear that the successive economic plans have played an important role in the expansion of the Japanese economy. Japan follows what is commonly known as the system of " indicative " planning; this has helped to stimulate private propensities to invest by placing before businessmen the prospect of substantial and continuing expansion of demand. (See paragraphs 42 to 45 below). The expenditure policy of successive governments has been to keep total public outlays at a more or less constant proportion of total output, although the proportion rose strongly in 1962 and 1963; public expenditure has, however, been increasingly concentrated on capital projects. A further important aspect of growth policy is the extent to which the public sector participates indirectly in the financing of industrial investment through such intermediaries as the Japanese Development Bank, the Small Business Finance Corporation, etc. Official funds were an important source of external finance for private fixed investment immediately after the war when the normal credit institutions had only limited resources available. They have played a very important role in financing the reconstruction of steel and iron plants, coal mines, and electric power stations. In 1952 public finance still provided 25 per cent of the total external finance for private fixed investment, and even in the 1960 fiscal year it represented 13.5 per cent, despite the intervening large rise of private saving[2]. Yet a further important aspect of growth policy has been the fiscal privileges granted on a highly selective basis to particular industries or investment projects. Differential tax treatment for constitution of special reserves, accelerated depreciation of particular types of equipment, refunding of custom duties, etc. has been extensively used.

30. As already noted, the banking system has played an important role in financing the growth of investment. Even though profits had

1. Research on this would only be possible at the micro-economic level. At the macro-economic level, if this behaviour of firms is general, its effects will be concealed *ex post* by the accelerated demand expansion which it induces.

2. Cf. *Economic Statistics of Japan*, Bank of Japan, table in " New Supply of Industrial Equipment Funds ".

been growing fast, self-financing only represented some 35 per cent of total fixed private investment (excluding housing) in 1960. Sixty per cent of external finance was obtained from loans by banks and other private financial institutions. Not only investment banks, but the commercial banks, have played an important role in this process. Credit conditions seem to have been particularly easy, compared with those prevailing in most other countries, both because of sharp competition for business between banks and because of the links between the banks and industry. The ratio of bank loans to deposits is nearly 100 per cent. The liquid assets of the banking system are very small, and the Bank of Japan seems normally to operate more as an immediate source of bank reserves than as a lender of last resort. Hence the phenomenon of " over borrowing " by business is accompanied by " over lending " by the banks. This, *inter alia*, makes monetary policy a particularly efficient contracyclical weapon. (See paragraphs 59 to 61 below).

31. In the last analysis, of course, bank finance only constitutes a means of mobilising and channelling private savings. The rate of private savings, which normally take the form of bank deposits, is relatively high. In 1959 unspent personal income was as high as 17.8 per cent, compared with 7 per cent in the United States, 6.1 per cent in France and 5 per cent in the United Kingdom. The fact that income per head in 1959 did not exceed $ 400 makes this savings ratio all the more remarkable.

32. The reasons behind the high savings ratio must partly be sought in historical developments and the realms of sociology. The rate of savings seems to be higher in those parts of the country which still cling to the more traditional ways of Japanese life, even though it is in precisely these regions that incomes fall below the national average. In many parts of the country western patterns of consumption have not yet been induced by the demonstration effect. Parents save to provide for better education of their children. Young female workers save in order to accumulate a dowry. And workers in general save important amounts of their incomes because the social security system still provides only very partial insurance against sickness and old age. The fact that an important part of annual earnings are received in the form of half-yearly or end-year bonuses (the size depending on the current prosperity of the employer) may also serve to stimulate the propensity to save.

33. Corporate savings also have played an important role in the financing of investment. Corporate profits (before taxes) increased annually by more than 18 per cent on the average between 1953 and 1961 — growing from 586 billion yen in 1953 to 2,261 billion yen in 1961. Corporate taxes varied between about 35 and 45 per cent of profits over the same period with no noticeable trend. While profits declined in some years, dividend payments were maintained and averag-

ed over 20 per cent of the after-tax earnings over the period. Retained depreciation allowances have been another important source of funds for corporate investment. They have grown from 291 billion yen in 1955 to 1,195 billion yen in 1961. These figures can be compared with gross corporate investment in fixed assets, which was 557 billion yen in 1955 and 3,608 billion in 1961.

34. It is difficult to say how important the " dual structure " of Japanese industry (see paragraph 8 above) has been in the growth process. The big high-productivity firms have certainly been helped by the existence of small less-efficient firms, because it is upon the latter that, in the first instance, the weight of credit restrictions falls in times of difficulty. And the big firms no doubt find the smaller ones useful in so far as they can do business with them on their own terms and, by varying the volume of sub-contract work which they pass on to them, can keep their own operations at the desired level of capacity utilisation[1]. Nonetheless, the " dual structure " also implies that much existing labour is employed in conditions hardly conducive to high productivity, and that a not negligible part of production takes place in very unfavourable circumstances.

35. To sum up very briefly, with no attempt to produce a systematic explanation of so complicated a phenomenon as economic growth in Japan, the following factors would seem to have been particularly relevant in Japan:

a) Important reserves of under-employed labour, particularly in agriculture, have enabled industry and services to increase their payrolls, but have helped keep the increase of wages well below the rise of productivity. Hence the economy has been more easily able to undertake a sharply increasing rate of investment in conditions of equilibrium; and a strong external competitive position has been preserved, thus easing the balance of payments problem.

b) An adequate rate of savings has been achieved, not only because of the relatively high increase in business profits, but also because of the traditional attitude of many parts of the population towards thrift.

c) In the absence of a well-functioning capital market, the banking system has not only acted as an efficient collector and distributor of savings, but has followed an extremely expansionary policy of credit creation; most big firms have almost always been able to find the external finance which they required.

d) Investment decisions seem always to have been taken in an atmosphere of optimism concerning the future growth of demand; the few periods when government policy had to become more restrictive have not affected this expansionary mentality.

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1. A recent trend, however, should be noted: big firms are fostering and helping small firms to modernise their production methods so that these may raise the standard of techniques or establish mass production systems.

e) The expansive attitude of business has been encouraged both by governmental planning and by specific measures; moreover, official policy has succeeded in overcoming temporary imbalances very quickly, and no time has subsequently been lost in reverting to a more expansive policy.

All these factors have been operating in an economy already industrialised since more than half a century, well beyond the "take-off" stage.

III. ECONOMIC PLANNING AND GROWTH PROSPECTS

The First Plans

36. The first post-war plan covered the period 1948-1952 and was drawn up with the object of completing Japan's economic reconstruction. However, it was never put into operation because it became quickly apparent that the main aim of the Government in the circumstances then existing had to be the elimination of inflation and excessive demand. Thus, it was that in these years the authorities mainly based their policies on short-term economic prospects. In 1955, after the formation of the Hatoyama Government, the concept of a plan for the period 1956-1960 was evolved. This " Plan for Economic Independence " aimed well beyond the restoration of pre-war living standards which had already been largely achieved. It was couched in terms of the attainment of full employment and the economic development to be achieved thereafter. An annual growth rate of 5.5 per cent was fixed for gross national product. As it turned out, the rate actually achieved in the 1956-1960 period was nearer 7.1 per cent. Both the speed at which under-employed labour could be absorbed and the scope for increasing productivity had been under-estimated.

37. When the Kishi Government succeeded the Hatoyama Administration in 1957, a new plan was drawn up, using more sophisticated methods. An average growth rate of 6.5 per cent a year was aimed at — slightly lower than the rate achieved during the five preceding years — because this was thought to be the rate which would avoid the development of unemployment on the one hand or continuous balance of payments deficits on the other. Even so, most of the aims laid down for 1962 had already been achieved by 1960. Between 1958 and 1962 the gross national product rose at an average annual rate of some 10.7 per cent in volume without the economy running into far-reaching balance of payments difficulties[1].

The Ten-year (income-doubling) Plan

38. When it became obvious in 1959 that the aims of the plan were going to be exceeded, the Government decided to prepare a new longer-

1. See, however, paragraph 82 below.

term plan, and this was approved at the end of 1960. The aim of this plan was to double Japan's national income in ten years — i.e. achieve an annual average compound rate of growth of 7.2 per cent a year. The rate of growth actually achieved in 1961 (about 14 per cent in real terms) led to difficulties in the balance of payments and the authorities had to take restrictive action. Hence, in 1962, the rate of expansion dipped below 6 per cent. A rather faster rate — some 8 per cent — was restored in 1963, so that the average over the three years as a whole amounted to 10 per cent. The experience of 1962 in respect of the external balance led the authorities to undertake a revision of the plan. An interim plan, for 1964-1968, is now being prepared and should be ready in the autumn of this year.

39. The qualitative and structural aims of the plan are of at least as great an importance as the overall statistical targets. When it presented the Ten-Year Plan, the Government stated that " special effort must be made to rectify the existing disparity of living standards and incomes between the farming and non-farming population, between major enterprises and smaller business, between urban and rural residents and between high and low income strata, to promote balanced development of the national economy and the people's living standard "[1]. To this end legislation has already been enacted to help the development of agriculture and of small and medium-sized firms, and to widen the scope of the social security system. Steps have also been taken to secure a more balanced regional development.

The Preparation of the Plan

40. The plan was instigated by a decision of the Prime Minister, and drawn up by the Economic Planning Agency (E.P.A.). Together with the other government departments concerned. the E.P.A. drew up a first draft of the plan, which was then submitted to the Economic Council, about 150 representatives from business and finance, the academic world, etc. The ultimate form of the plan was decided upon by this Council which sent it with its recommendations to the Council of Ministers. The latter adopted the plan, but did not need to seek Parliamentary approval.

The Nature of Japanese Planning

41. Japan had adopted a type of " indicative planning " because the economy is dominated by private enterprise (only few industries are nationalised) and functions according to the dictates of the market and the price mechanism. This plan is, therefore, not imposed in any way on the private sector.

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1. *New Long Range Economic Plan of Japan*, Economic Planning Agency, Tokyo 1961 (published by *The Japan Times*), p. (*ii*).

42. But it would be misleading to conclude that the plan has no influence on the decisions of private business. In the first place, it suggests production targets for certain important sectors. (The increase of production between the base year[1] and 1970 envisaged in the plan is 7.7 times for machinery, 4.3 times for chemical products, 4.1 times for steel, 2.5 times for textiles, etc.). These targets are decided upon after discussion with representatives of the more important firms who participate in the drawing up of the plan. This means that, at least to some extent, the investment programmes of the individual firms take account of the targets suggested by the plan. But here a special factor intervenes which may explain the fact that the targets are consistently exceeded. Individual firms try to achieve the targets as early in the period covered by the plan as possible, probably reflecting their desire to obtain a larger part of the expected market. (Such behaviour on the part of even a few really important firms can, of course, have a far-reaching effect on the economy as a whole). The plan also influences the behaviour of the private sector in the sense that firms feel confident that the Government is committed to ensuring substantial economic growth. This feeling, of course, is justified *a posteriori* by the results of the investment decisions which it leads the individual firms to take. In addition, it should not be forgotten that the Government plays a non-negligible role in the financing of industrial investment (cf. paragraph 66 below) and makes extensive use of specific fiscal measures to guide the development of private industry in the direction it thinks desirable.

43. Even for the public sector, the plan is indicative rather than mandatory. It fixes precise capital expenditure targets for public works, education, agriculture, etc. But these targets are not legally binding on the Government in the sense that a general legislative commitment is entered into covering public investment during the whole period of the plan. Indeed, legislation is only proposed to Parliament in cases where parliamentary action is essential if the authorities are to put into practice the measures they propose (e.g. in the case of housing). The links between the plan and the departmental investment programmes are two-fold. Since the plan is drawn up with the help of the various departments concerned, their investment programmes are taken into consideration during the initial planning operation. Moreover, all long-term investment programmes of individual departments have to be approved by the Ministry of Finance, which consults the E.P.A. on each occasion.

44. The relationship between the Government's current business cycle policies and the long-term plan is very flexible. Short-term policy is formulated each year in the shape of a national economic budget which forecasts the more important elements in national output and expenditure. These forecasts — and the governmental budgetary

1. In formulating the plan the average of the fiscal years 1956-1958 was taken as the " base year ". Japan's fiscal year runs from 1st April-31st March.

policies for which they call — take account of the aims of the plan. But the authorities do not necessarily attempt, in any individual year, to secure the average growth rate envisaged for the whole period of the plan. Indeed, the need for government policy to be modified in the light of " fluctuations caused by changes in both domestic and foreign economic conditions " is explicitly recognised, as well as the fact that " economic development is not necessarily expected to show an equal rate each year during the next ten years, nor is it necessary that such a rate should be obtained "[1] As a matter of fact, since the inception of the latest plan, short-term considerations have been predominant in determining the shape of current economic policy. The authorities have had to introduce special restrictive measures as a result of excessive demand pressures and balance of payments difficulties (see paragraphs 61, 62 and 84 to 86 below). But good judgment in the timing and intensity of such interventions, and their relaxation as soon as circumstances seemed to permit, have certainly contributed so far to the maintenance of a high growth rate and thus to the achievement of the plan's objectives.

Present Growth Problems

45. Table 5 summarises the development foreseen for the major economic variables between the base period and 1970.

46. Since the authorities are at present revising the plan and preparing an interim programme for 1964-1968, examination of the existing targets would, in itself, be of little current interest. The following paragraphs attempt, rather, to consider the conditions in which Japan will henceforth have to solve her economic growth problems and the main difficulties which may be met in maintaining a high rate of expansion.

47. A number of factors which have helped rapid post-war growth in Japan are now changing as a result of growth itself. First among these is the supply of man-power.

a) *Increase of the population of working age.* This was about 1.9 per cent a year between 1956 and 1960, and will probably average 2.2 per cent in 1960-1965. But it will fall significantly thereafter to an average of about 1.4 per cent in 1965-1970.

b) *Rate of participation in the labour force.* About constant until recently, this is henceforth likely to fall considerably as the result of longer school attendance, improved social security systems, the increase of the income of the lowest income families and the shrinkage of the rural population where the proportion of family workers is very high. From 66.8 per cent in 1956-1958, the participation rate is expected to fall to 61.6 per cent in 1970.

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1. *New Long Range Economic Plan of Japan,* op. cit., p. 13.

TABLE 5. PRINCIPAL ECONOMIC TARGETS OF THE DOUBLING NATIONAL INCOME PLAN, 1961-1970

	BASE PERIOD FISCAL YEAR 1956-58	TARGET YEAR FISCAL YEAR 1970	ANNUAL RATE OF GROWTH
Total Population *(Millions)*	91.1	102.2	0.9
Employment *(Millions)*	41.5	48.7	1.2
Employment in Primary Industry *(Millions)*	16.5	11.5	– 2.8
— Secondary Industry *(Millions)*	10.1	15.7	3.5
— Tertiary Industries *(Millions)*	12.8	18.1	2.7
— Transportation, Communication and Public Utilities	2.3	3.4	3.1
Gross National Product *(Billions of Yens in Fiscal Year 1958 Prices)*	9,744	26,000	7.8
Gross National Product:			
— in Primary Industry *(Billions of Yens in Fiscal Year 1958 Prices)*	1,500	2,161	2.8
— in Secondary Industry *(Billions of Yens in Fiscal Year 1958 Prices)*	2,665	8,241	9.1
— in Tertiary Industry *(Billions of Yens in Fiscal Year 1958 Prices)*	3,024	8,472	8.2
— in Transportation, Communication and Public Utilities	805	2,449	8.9
National Income per capita *(Thousands of Yens)*	87.7	208.6	6.9
Personal Consumption *(Billions of Yens in F.Y. 1958 Prices)*	5,798	15,117	7.6
Personal Consumption per capita *(Thousands of Yens)*	63.6	147.9	6.7
Gross Capital Formation *(Billions of Yens in F.Y. 1958 Prices)*	2,947	8,283	8.2
Exports *(Millions of $) custom clearance*	2,701	9,320	10.0
Imports *(Millions of $) custom clearance*	3,126	9,891	9.3

Source: Economic Planning Agency, *New Long-Range Economic Plan of Japan (1961-70). Doubling National Income Plan* (Tokyo :The Japan Times, Ltd., 1961), pp. 11, 14, and 16.

c) *Unemployment.* Small before the plan period, its relative importance is shrinking still further.

d) *Inter-sectoral shifts.* With the exodus towards industry and services, employment in agriculture and related activities fell from about half the labour force in 1950 to less than 30 per cent in 1963. Employment in industry and services rose from 17.5 million in 1950 to 33 million in 1963; the additional labour force was drawn to the extent of some 10.5 million by the process of natural increase, while some 5 million were drawn in from agriculture. Since the proportion of the population engaged in agriculture is still very high in relation to most industrialised countries, considerable scope for further shifts would seem to exist. But there are certain limiting factors. Japanese agriculture is traditionally "intensive" and geographical and socio-economic conditions hinder the process of mechanisation. The irreducible minimum for the agricultural population is probably higher in Japan than in other countries. Moreover, the great exodus from agriculture during the

last fifteen years was largely undertaken by the younger age groups; the age structure of the population remaining in agriculture has probably become less and less favourable, both from the point of view of agricultural productivity itself, and from that of the prospective employer in industry. And even if between 1963 and 1970 the same number of workers flowed from agriculture into industry and services as in the 1956-1963 period, the additional labour force thereby gained by the non-agricultural sectors would, of course, be relatively less important — falling from 13 per cent to about 9 per cent.

48. But if the growth of total labour force and the drift from agriculture may both decline, employment shifts from the small, low productivity firms towards the large modern establishments may be more accentuated in the future. As shown in Table 6, in 1948 output per employed person was 1.34 times higher in the big firms than in the small; by 1959, productivity thus measured was 2.46 times as high in the former as in the latter.

TABLE 6. CHANGES IN THE PRODUCTIVITY GAP BETWEEN SMALL AND BIG FIRMS

	1948		1959	
	A	B	A	B
1. Percentage of labour force employed	56.2	43.8	55.7	44.3
2. Percentage of value of total output	48.9	51.1	33.8	66.2
3. Relative productivity per person employed	1.00	1.34	1.00	2.46

A = Firms employing less than 100 persons.
B = Firms employing 100 persons or more.
Source: Japan Statistical Yearbook, 1953 and 1962.

There seems, as yet to have been no very great migration of labour from one sector to the other. Any substantial switch of man-power from the small firms (which employ over half the total industrial labour force) to more modern conditions of work and corresponding levels of productivity could make as large a contribution to the improvement of average productivity as the switch from agriculture to industry has done up to now. This change could take place in two ways. It could take the form of the absorption, by the big firms, of part of the man-power of the small ones. And the increasing scarcity of labour could induce far greater efforts by the small firms to increase their own productivity and, thus, to be able to offer competitive wages. But the ability of small firms to make progress in this direction may well run up against financial problems. The Japanese Government is, in fact, at present studying the question of how to improve facilities for small firms to obtain the funds they need to increase their fixed capital stock.

49. One reason why industrial productivity, strictly defined, may continue to increase rather fast lies in the fact that, despite the progress of the last fifteen years, many sectors of industry are still technologically well behind their counterparts in Western Europe and North America. All in all, the 5.5 per cent average annual increase in output per industrial worker employed, postulated in the Ten-Year Plan, would not seem excessive.

50. But if, in general, the smaller pool of spare labour should not entail any serious physical obstacle for the achievement of the growth target in the next few years, there are already signs that it is throwing into relief a different problem. Pressures on costs and prices may well be far more serious in the future than they have in the past. Experience elsewhere suggests that, even when there are still important margins of under-employment in particular sectors or regions, strong pressures on the labour market and the wage level can develop. Indeed, some such tendency has already begun to be felt in Japan. Between 1952 and 1960, the index of hourly earnings in manufacturing rose on average by 5.6 per cent a year. But it rose by 13.8 per cent in 1961, 12.2 per cent in 1962 and 11.3 per cent in 1963; contrary to the previous experience, these later years have seen the rate of wage increases tending to exceed that of productivity. Similarly, consumer prices only rose at an average rate of 2.4 per cent between 1952 and 1960 (and this was largely because of rising prices for services, manufactured products remaining virtually stable); in the last three years the average increase has reached 6.6 per cent; however, the prices of manufactured goods have not joined in the general movement — except for the goods produced by the small firms. A parallel acceleration of the rate at which imports were rising has taken place.

51. The extent of this movement so far hardly reflects more than a tendency for the relationship between movements of real wages and productivity to revert to a more balanced relationship and for profits to fall to a level more nearly comparable with those experienced in other countries. The same is probably true in respect of the consumption-investment ratio, which had been moving steadily in favour of investment up to 1961. But such tendencies, natural as they may be, can give rise to a number of problems.

52. Rising unit labour costs appear to have begun to make themselves felt in certain industries and lead to some pressure on prices. When, in earlier years, labour costs were falling, prices did not follow, but profits rose — an important factor in the growth of investment. It is quite unlikely, henceforward, that rising labour costs will be absorbed through a reduction of profit margins, because, *ex definitio*, the movement will be taking place at a time when demand is expanding strongly. Apart from other drawbacks, continued price increases would endanger the future growth of Japanese exports — a growth essential if the expected fast rise of imports is to be paid for.

53. Another aspect of the same problem is that the coming years may see an appreciable change in the distribution of income as between consumption and saving. Up to now the propensity to save seems to have been rising even faster than might be explained by the fact that profits were claiming an increasing part in the total. The reverse may henceforward be the case — not only because wages may be claiming an increasing share in the national income, but because of other factors including the development of a broader social security system, and changes in the traditional patterns of life. This may tend to dampen the speed at which investment rises.

54. But for a country in Japan's position, some shift in the distribution of income in favour of wages and consumption should not be regarded as a cause for alarm. Indeed, it would seem unlikely that the proportion of resources absorbed by investment could continue to grow, as it has done for the last fifteen years, without an increasing risk of excess capacity emerging. The present strong increase of consumption may, if kept within reasonable bounds, help the economy to make the difficult transition from an expansion process spear-headed by capital expenditures to one in which the share of investment remains relatively stable.

55. Recent developments may affect the balance of payments, even apart from the influence of price movements. Changes in the pattern of income distribution will be followed by changes in the composition of final demand — with consumption, in particular, becoming concentrated on different types of foodstuffs and other goods and services. Too fast a change in the pattern of demand may lead to an excessive increase of imports, and balance of payments difficulties, because the pattern of domestic output cannot be changed as quickly.

56. In summary, the central problem for Japanese growth in the coming years will be the changed labour market conditions, and the impact of such a change on wages, prices, the distribution of national income, the consumption-investment ratio and the pattern of final expenditure. So long as these changes take place gradually, they can lead to a new area of balanced growth; and, with the share of investment settling down at somewhere around its present level, a remarkable rate of growth could be maintained. During this transition, the role of government policy, and the difficulties with which it may have to cope will be even greater than in the past. Appropriate business cycle policies to correct, in time, excessive spurts of demand will have to be combined with measures aiming at assuring, over the longer term, that wages rise in line with, and not much faster than, productivity, that regional and professional mobility of labour increases, that productivity in small firms and agriculture improves, and that producers are able, in good time, to adapt the pattern of their output to changing patterns of demand.

IV. BUSINESS CYCLE POLICIES AND INSTRUMENTS

57. Japan has seen three recessions in the last ten years — 1954, 1957-8 and 1961-2. The only fall in production took place in 1957-8, and all three recessions have been relatively short lived. None of them was due to inadequate demand; they resulted from measures taken by the Government to restore external balance, which had been endangered by too fast an expansion at home.

58. All three recessions have followed a broadly similar course. Each was preceded by an acceleration of fixed investment and of stockpiling, entailing an upsurge of raw material and machinery imports. With the growth of exports remaining regular or even tending to slow down because of domestic demand pressures, the trade balance — and the balance on invisible transactions closely connected with it — deteriorated fast. Forceful intervention had, each time, to be taken by the Government because the level of reserves has never been high — and has averaged not more than three to four months of imports over the last ten years. Monetary policy has formed the backbone of official action. Since most firms were heavily indebted, credit restrictions have had a very swift effect on the level of stocks and investment plans. Thus, in each case, the high tide of imports has ebbed within a few months. Since, during each cycle, exports have continued to rise — and indeed may have been stimulated by the more moderate development of home demand — balance of payments equilibrium has been restored rather quickly and the Government has been able to relax its restrictive measures.

Monetary Policy

59. The ability of the authorities to rely, almost exclusively, on monetary policy to restrain excessive expansion of demand has resulted from the fact that the commercial banks depend heavily on the Bank of Japan for the facilities it provides through the rediscounting of commercial bills and particularly, through advances against non-discountable assets (ordinary commercial bills, local authority and private bonds, etc.). The indebtedness of the banks to the Central Bank is relatively modest in the sense that, at the end of 1962, it did not exceed 10 per cent of total deposits (see Table 7). But it represents a very important part of the banks' liquid assets — some three-quarters at the same date. Thus any slowing down of the flow of funds from the Central Bank to the commercial banks has an immediate effect on bank liquidity — and even in normal times this is very tight.

60. Among the more important aspects of Japanese monetary policy, the following merit attention:

a) The classical policy of changing the rediscount rate is used frequently. This was supplemented by a system of more punitive rates

Diagram 3. CYCLICAL MOVEMENTS OF THE JAPANESE ECONOMY, 1954-1964

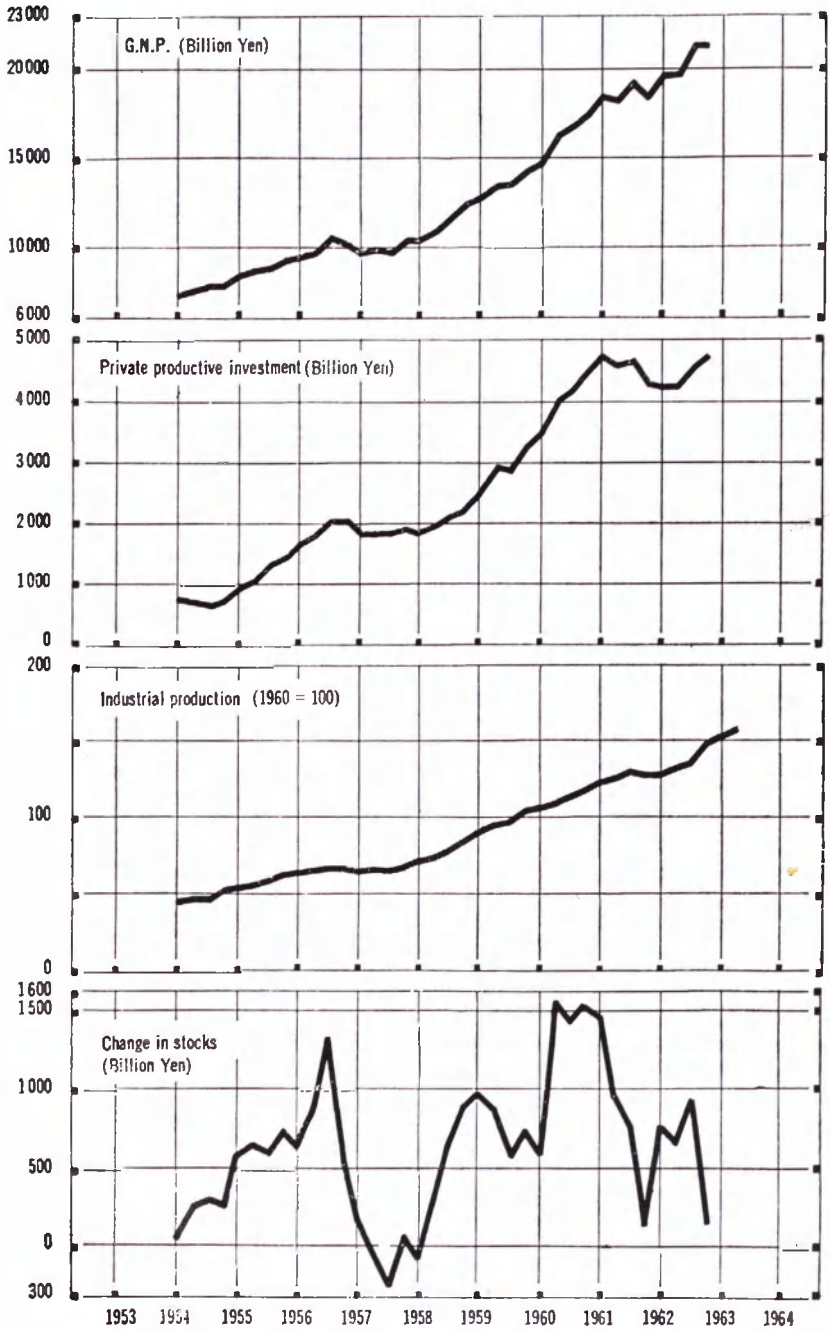

Diagram 3. (cont.) CYCLICAL MOVEMENTS OF THE JAPANESE ECONOMY, 1954-1964

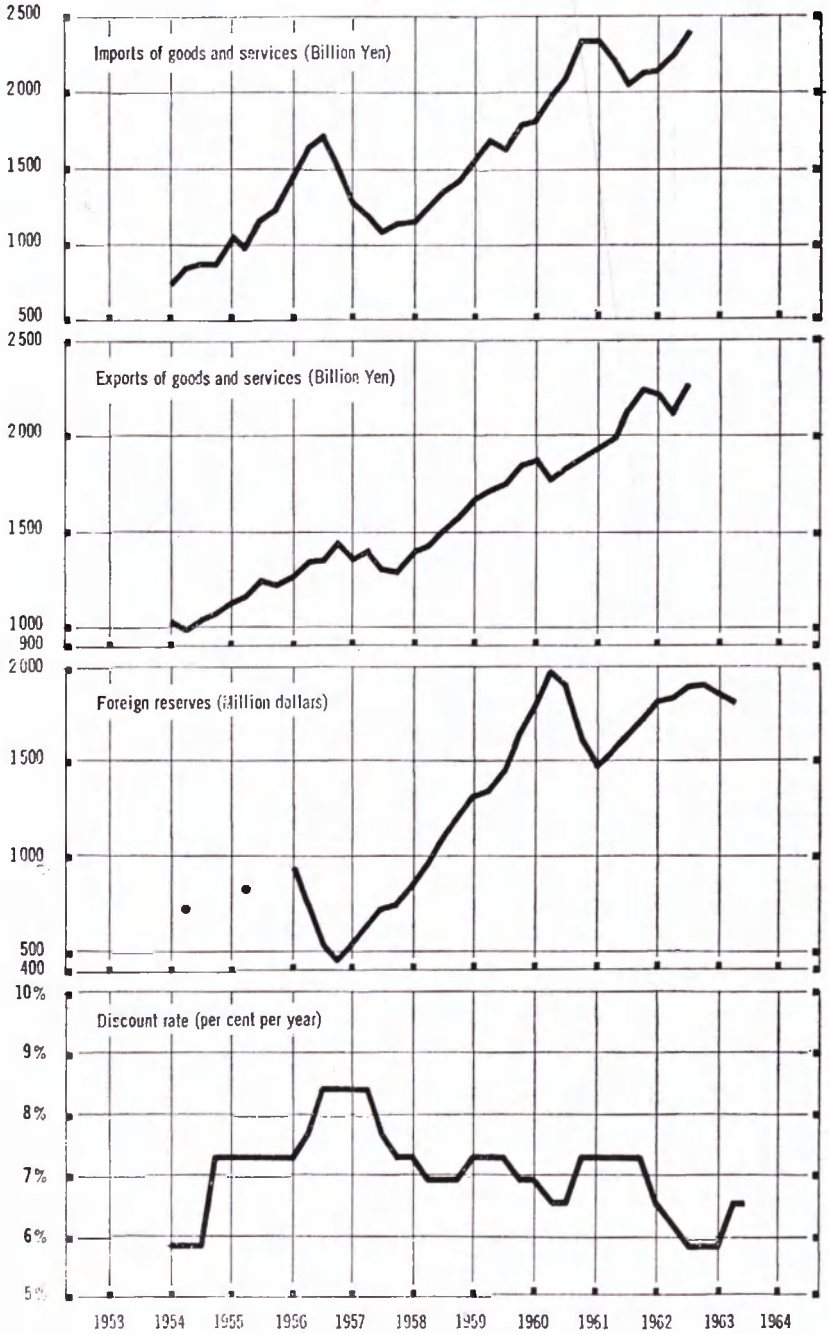

TABLE 7. PRINCIPAL ASSETS AND LIABILITIES OF THE BANK OF JAPAN AND EXCHANGE FUND AND COMMERCIAL BANKS ON DECEMBER 31, 1963

Billions of Yen.

BANK OF JAPAN AND EXCHANGE FUND

ASSETS	%		LIABILITIES	%	
Foreign Assets	34	881	Currency outside Banks.	67	1,719
Claims on Govt.	14	342	Currency and Deposits of Comm. Banks....	21	531
Claims on Banks.....	52	1,350	Net Liabilities	12	323
	100	2,573		100	2,573

COMMERCIAL BANKS

ASSETS	%		LIABILITIES	%	
Currency and Deposits with Bank of Japan...	3	531	Demand Deposits	26	4,678
			Time Deposits	43	7,578
Foreign Assets	3	556	Govt. Deposits.....	2	362
Claims on Govt.	4	697	Foreign Liabilities	5	869
Claims on Private Sector.	90	16,008	Credit from Bank of Japan and Exchange	8	1,350
			Net Liabilities	16	2,955
	100	17,792		100	17,792

Source: International Financial Statistics, May, 1964, p. 173.

(analogous to the " enfer " and " super-enfer " of the Banque de France) between 1912 and 1962, when it was abolished; when advances to a particular bank exceeded a limit calculated on the basis of the size and structure of that bank's balance sheet, progressively higher interest rates were charged by the Central Bank.

b) On several occasions the Central Bank seems to have acted vigorously to reduce commercial bank liquidities by ceasing or slowing down its advances by requesting in many cases that the commercial banks borrow from the market, before coming to the Central Bank for funds. This has resulted in pushing the market rates above the official rate. Funds provides by the Bank of Japan to the commercial banking system fell from 289 to 232 billion yen between the end of 1953 and the end of 1954, from 542 to 352 billion from the end of 1957 to the end of 1958, and from 1,478 to 1,209 billion from the end of August to the end of December 1962. These developments seem mainly to have resulted from the reduction of direct advances by the Central Bank.

c) Credit ceilings are set by the Bank of Japan for big "city banks".

d) A special kind of moral suasion, generally known as " window guidance "[1] was exerted by the Bank of Japan up to May 1963 and again from January 1964.

e) A system of compulsory reserves was introduced by law in 1957 and first applied in September 1959. Subject to approval of the Ministry of Finance, the Bank of Japan can require the banks to freeze up to 10 per cent of their deposits in the central institution. Since 16th December 1963, 0.5 per cent of time deposits and 3 per cent of sight deposits have had, thus, to be frozen for the commercial banks.

f) Open market operations have not played a very important role to date; the capital market is not a developed one and the banks do not buy Treasury bills whose rates are fixed independently of market conditions.

61. In October 1962, certain changes in the way in which monetary policy was operated were introduced.

a) The Bank of Japan is adopting a broader and more flexible purchase and sale operations in securities in order to adjust the seasonal fluctuations in money market funds.

b) Very short-term funds which cannot be adjusted by the Bank's securities operations are adjusted through Central Bank loans, but the big " city banks " borrowing from the Central Bank are now subjected to strict ceilings.

c) The Bank of Japan can reduce the unutilised part of the banks' credit ceilings when there is a danger of " over-heating ".

The object of these modifications was to escape, gradually, from the present situation in which firms are " over indebted " to the banks and the banks are in a similar situation *vis-à-vis* the Bank of Japan. Although this situation carries with it certain advantages — making demand particularly responsive to changes in monetary policy — the authorities feel that it creates a risk of periodical sudden upsurges of demand, encourages unsound attitudes on the part of borrowers and can lead to an excessively fragile credit structure.

Budgetary Policy

62. The Japanese authorities adhere to the principle of budgetary balance, and this limits the extent to which the budget can be used as a contra-cyclical weapon. Action in this direction has largely been confined to changes in the overall size of the budget, and the reduction of actual expenditure in times of strong demand pressures. In 1954, for example, the budget estimates were brought down below their level of the previous year; and in both 1957 and 1961 there was some postponement of outlays for public works and loans.

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1. This consists of guidance given by the Bank of Japan to the commercial banks as to the amount of additional credit these may extend in a quarter.

63. There are both legal and administrative reasons why the scope for varying budget receipts and expenditures is very limited. The paramount responsibility of Parliament in budgetary matters is laid down in Article 83 of the Constitution. Possibly because of the constitutional position, the introduction of a system of " short term regulators " in the form of variable tax rates has not been seriously considered.

64. But if the discretionary powers of the fiscal authorities are rather limited, the budget plays a role as a built-in stabiliser because of the high degree of automatic compensation element contained in the tax system. Tax receipts are highly elastic to changes in the national income (the elasticity is estimated to be some 1.5). Taxes on income and on company profits provide the greater part of fiscal receipts, and both of these are extremely sensitive to fluctuations in the economy. The very strong increase of tax receipts in times of boom, and the relative weakening during recessions, tend to offset to a certain extent the spontaneous movements in the economy, even taking account of the time-lag between receipt of income and payment of tax.

65. An important preoccupation of the Government in drawing up its budgetary policy is to prevent a continuous increase in the weight of taxation which, were no action taken, would automatically result from the highly progressive nature of the tax system and the fast rise of national income. To this end taxes were reduced substantially in 1957 (lower direct taxes accounted for most of the 100 billion yen reduction), in 1961, 110 billion yen (mostly for direct taxes) and in 1962 (when 160 billion were relinquished, one-third of which in the form of lower indirect taxes). Smaller reductions are introduced nearly every year.

66. An attempt to assesss the impact of public finance on the economy must take into account, in addition to the budget of the Central Government, the budgets of the local authorities and other operations of the public sector. This is at present difficult because no consolidated account of the finances of the public sector as a whole is yet available. The data in Table 8 seem to give support to the following comments:

a) *The " General Account "*. This is the budget corresponding to the normal revenue and current and capital expenditures of the Central Government. According to the initial estimates, it has been in strict balance ever since 1947. But the out-turn has always shown receipts considerably in excess of estimates, while actual expenditure has often fallen short of the estimates. There has thus been a continuous and large surplus on this part of public finance. The usual annual surplus is used for debt retirement and as normal revenue, approximately one-half for each purpose, in the next or the second fiscal year following the one in which it emerged. Thus, in as far as they contain a part of carry-over from previous years, the budgetary surpluses are, in terms of current operations, smaller than they appear.

b) *Special Accounts.* There are about forty special purpose accounts, the most important of which are the foodstuff control programme, various insurance and trust finds, and the transfer account for Central Government taxes shared with local governments. Each year the Special Accounts show a surplus, but because a significant portion of the revenue of some of them is derived from transfers from the General Account, a separate net surplus is difficult to obtain. The net surplus of the combined General and Special Accounts with overlapping eliminated between them, can be derived from Table 8. It has been increasing steadily throughout the past ten years, and in 1962 it reached 904 billion yen. It should be borne in mind, however, that for a substantial part this surplus corresponds to the accumulation of assets by typical savings institutions (like the Welfare Insurance, the Post Office Life Insurance, etc.).

c) *Local Government.* Less than one-half of the budgetary receipts of local authorities arise from local tax revenue. The other major sources of revenue are the shared national taxes and Central Government grants. On the whole, it can be seen from Table 8 that if these three accounts are combined, they have shown practically every year a surplus, which seems to fluctuate in a contra-cyclical way.

d) *The " Fiscal Investment and Loan Programme ".* The outlays of this programme are destined mainly for the national railways, the telephone system, the finance corporation for small and medium sized firms, the Japan Development Bank, the Export-Import Bank, etc., and also for social capital programmes designed to improve water supplies, drainage, road transportation, etc. The funds come primarily from Postal savings, pension funds, Post Office Life Insurance and from issues of Government guaranteed bonds. Table 9 summarises the sources and uses of funds for fiscal years 1962 and 1963. It should be noted that in addition to these funds, self-financing of the various enterprises and programmes concerned has added another 817 billion yen to their investment expenditures for fiscal year 1963.

The Present Business Situation and Short-Term Prospects

67. The over-heating of the economy of 1960-1961 led to a restrictive policy. Thus, by Japanese standards, 1962 was a year of rather moderate expansion: industrial production rose by 8 per cent, the gross national product by 7 per cent and fixed investment by 11 per cent (after a 31 per cent increase the year before). The startling change was in the rate of stock-building, which was halved. Imports actually fell slightly by 3 per cent, after rising by nearly 30 per cent in 1961, and a 16 per cent increase in exports enabled the trade deficit to fall to $ 720 million (less than half the previous year's gap).[1] The official gold and foreign exchange reserves rose by $ 355 million (rather more than they had fallen in 1961). Hence in October 1962, the Government

1. Customs basis, current prices.

TABLE 8. NATIONAL AND LOCAL FINANCE

FISCAL YEARS 1954-64[6]

Billion Yens.

	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963[1]	1964[1]
Revenues[2]:											
1. General Account	1,185	1,126	1,232	1,400	1,454	1,597	1,961	2,516	2,948	3,197	3,255
2. Special Account	1,660	1,880	2,231	2,376	3,059	3,412	3,939	4,432	4,798	5,383	6,126
3. Net Total[1]	2,290	2,428	2,657	2,908	3,012	3,330	3,866	4,660	5,278	5,697	6,151
4. Local Taxes, Etc.[4]	543	550	622	732	764	847	1,006	1,369	1,612	1,225	1,468
5. Total Net Revenue	2,833	2,978	3,279	3,640	3,776	4,177	4,872	6,029	6,890	6,922	7,618
Expenditures[2]:											
1. General Account	1,041	1,018	1,069	1,188	1,332	1,495	1,743	2,064	2,557	3,018	3,256
2. Special Account	1,522	1,727	2,007	2,139	2,803	3,096	3,555	3,959	4,284	4,917	5,812
3. Net Total	2,009	2,169	2,284	2,463	2,636	2,916	3,269	3,740	4,374	5,056	5,838
4. Local Finance	1,129	1,137	1,206	1,343	1,456	1,624	1,925	2,391	2,887	2,664	3,139
5. Less Duplication[5]	422	440	473	520	578	679	816	982	1,207	1,318	1,493
6. Total Net Expenditures	2,716	2,866	3,017	3,286	3,514	3,861	4,378	5,149	6,054	6,402	7,484
Surplus (+) or Deficit (−)	+ 117	+ 112	+ 262	+ 354	+ 262	+ 316	+ 494	+ 880	+ 836	+ 520	+ 136

1. Budget estimates
2. Figures are for settled accounts between F.Y. 1954 and F.Y. 1962.
3. Net total shows amount exclusive of overlapping between the General Account and the Special Accounts.
4. The figures for Local Taxes receipts exclude the allocation tax and shared taxes.
5. This duplication refers to overlapping between national and local finance.
6. These figures include both real and financial transactions; hence they are not comparable with national accounting data.

Sources: Economic Statistics of Japan 1963 (p. 193) for revenue and expenditure on General and Special Account as well as Net Total; *Quarterly Bulletin of Financial Statistics, 4th Quarter, 1963 Fiscal Year* (pp. 26-27) for local tax revenue and expenditure as well as duplication between national and local finance.

TABLE 9. SOURCE AND USE OF FUNDS FOR THE FISCAL INVESTMENT AND LOAN PROGRAM FISCAL YEAR 1962 AND FISCAL YEAR 1963

Billion Yens.

SOURCES ↓ / USES →	SPECIAL ACCOUNT[1]		PUBLIC CORPORATION		LOCAL GOVT.		COMPANIES[3]		TOTAL	
	1962	1963	1962	1963	1962	1963	1962	1963	1962	1963
1. Industrial Investment Special Account	0	0	49.9	61.2	0	0	3.3	2.2	53.2	63.4
2. Trust Fund Bureau[4]	9.4	12.3	366.7	481.0	109.9	130.8	22.2	17.2	508.2	641.3
3. Post-Office Life Ins. Fund	3.3	3.7	63.2	71.3	68.0	72.5	15.5	12.5	150.0	160.0
4. Govt. Domestic Borrowings	0	0	121.7	147.1	21.0	26.0	5.5	15.1	148.2	188.2
5. Govt. Foreign Loans	0	0	36.6	40.6	9.0	16.2	0	0	45.6	56.8
TOTAL	12.7	16,0	638.1	801.2	207.9	245.5	46.5	47.0	905.2	1.109,7

1. Includes: Fund for Settlers, Special Land Improvement, Postal Services, and National Hospitals.
2. Includes *inter alia:* Japan National Railway Corp., Japan Telegraph & Telephone Corp., Housing Loan Corp., People's Finance Corp., Smaller Business Finance Corp., Agriculture, Forestry & Fishery Finance Corp., Public Enterprises Finance Corp., Hokkaido-Tohoku Development Finance Corp., Japan Development Bank, Japan Export & Import Bank, Japan Housing Public Corp., Metropolitan Subway Public Corp., Japan Highway Public Corp., Metropolitan Express Way Corp., Water Resource Development Public Corp., Coal Mining Rationalization Public Corp., Japan Broadcasting Corp., Metals and Minerals Prospecting Finance Corp., etc.
3. Includes *inter alia:* Central Bank for Commercial and Industrial Corp., Japan Air Lines Co., Petroleum Exploration Co., Electric Power Development Co., etc.
4. Includes: Postal Savings, Welfare Pension, and National Pension.

Source: Quarterly Bulletin of Financial Statistics, 4th Quarter, 1963 Fiscal Year, pp. 31-3?.

felt able to relax its restrictive policies and a strong expansionary phase was resumed in the last quarter of the year.

68. According to preliminary estimates of January 1964, in fiscal year 1963 (April-March) business conditions were extremely strong, with total demand rising by 15 per cent in value and about 9.5 per cent in volume; but some of the characteristics which had formerly marked the economic scene appeared to be changing. Stock-building began to increase fast, but private productive investment only rose by 4 per cent in value — and presumably by less in real terms.[1] House-building was estimated to have increased very strongly (+ 27.5 per cent in value) and so did private consumption (+ 15.3 per cent in value), 9 per cent in volume as against 8.5 per cent in the previous year. Total government expenditure rose by more than 16 per cent. Exports continued to rise at about 12 per cent per year.

69. Although domestic output was estimated to rise substantially in fiscal year 1963 (gross national product by some 8 per cent in real terms, industrial production by nearly 10 per cent), the growth of demand called forth a sharp increase of imports. Compared with fiscal year 1962, imports rose by 26 per cent in value, perhaps a little less in volume, and the rate of increase accelerated throughout the year. At $ 1.6 billion for the year as a whole, the trade deficit (seasonally adjusted) was running by the last quarter of the year at an annual rate of $ 1.9 billion, and this rose to $ 2.1 billion approximately in the first quarter of 1964.

70. Wage increases remained large. Regular workers' hourly earnings rose by 11 per cent between 1962 and 1963 (calendar years), and the rate of increase was even stronger in the beginning of 1964. On the other hand, consumer prices remained virtually stable after the summer. But the gold and foreign exchange reserves, despite an important inflow of private capital from abroad, showed a decrease of $ 170 million from end-October 1963 to end-May 1964. Already since the autumn 1963, conscious of the rate at which imports were increasing and the rather precarious manner in which the deterioration of the current balance was being financed, the Government began progressively to tighten its economic policy. The Bank of Japan reduced its credit ceilings; advances against securities were limited, the compulsory reserves of the banking system were increased in December, and in March 1964 the rediscount rate was raised from 5.84 to 6.57 per cent. At the same time the prior deposits required from importers were raised significantly. The 1964 budget recently approved by Parliament provides for total receipts of 3,255 billion yen and the same amount of total expenditure. Its impact on the economy is likely to be restrictive

1. All national accounts figures for 1963 and 1964 are estimates or forecasts for the fiscal years (April-March). Figures for calendar 1963 are not yet available.

if the usual excess of actual surplus over forecasts materialise, as is probable.

71. These measures began to have an impact on the economy early in the spring; in March-April, imports (seasonally adjusted) averaged about $ 640 million, instead of $ 670 in January-February. Exports, on the other hand, rose from an average of $ 460 million in January-February to $ 525 million in March-April. The latest trends in prices are also encouraging. At the same time, however, it seems that private investment in productive facilities is starting to rise. Business surveys carried in mid-March, showed a very substantial strengthening in investment plans. Industrial production in the first four months was running at 20 per cent higher than a year ago — and, even if it did not rise any further during 1964, it would still show for 1964 as a whole a 13 per cent increase over the 1963 level (implying a 9 to 10 per cent growth in the G.N.P.). Thus, the situation at the time of writing is uncertain. Much will depend on the direction taken by the Government in its demand management policy, which will in turn, depend on the development of the external balance.

V. FOREIGN TRADE AND THE BALANCE OF PAYMENTS

72. In quantitative terms the Japanese economy has been less dependent on foreign trade since the war than in the 1930's. In 1934-36, both imports and exports had amounted to some 20 per cent of the gross national product; at the end of the 1960's the proportion was only around 11 per cent. Moreover, Japan's share of world trade has not yet regained its pre-war level — imports represented 4.6 per cent of world imports in 1938 and only 4 per cent in 1963, and between the same dates her share of world exports fell from 5.4 per cent to 4.3 per cent. Nevertheless, the effective dependence of Japan on world trade has remained important because for many raw materials and fuels imports are the main source of supply, and a number of industrial sectors rely heavily on exports for their markets. Moreover, the last few years have seen a clear tendency for foreign trade to rise substantially faster than the gross national product (even though this has partly been concealed by falling import prices) and Japan's share of world trade has been increasing continuously; both exports and imports have been growing twice as fast as world trade.

73. Invisible transactions and capital movements have become far more important in recent years with the growth of the economy and with Japan's progressive entry into normal economic relationships with other countries. Capital imports have had an important role to play in financing the current deficit of recent years, and there is no doubt that Japan will be an increasingly important element in both the long and short term international capital markets in the years to

come. The Japanese authorities have been moving towards a more liberal foreign economic policy, and this in itself has served to increase the country's importance on the international capital scene.

Imports

74. The volume of imports rose considerably faster than gross national product between 1953 and 1963 (222 per cent as against 140 per cent) but about in line with industrial production (+ 248 per cent). The correlation between the volume of imports and industrial output seems very close and, for the reasons explained in Part IV, paragraph 59, is marked by a strong cyclical amplification.

75. The commodity structure of imports is changing considerably. In the last ten years the relative importance of imports of food and raw materials has fallen sharply, despite the increase in fuel (particularly oil); fuel imports have risen because of the growing importance of manufactured products from 13 per cent to 25 per cent of the total.

Imports of capital goods have risen fast; but so also, in recent years, have imports of manufactured consumer's goods — a trend reflecting both the rising standard of living and the influence of trade liberalisation.

Table 10. THE STRUCTURE OF FOREIGN TRADE

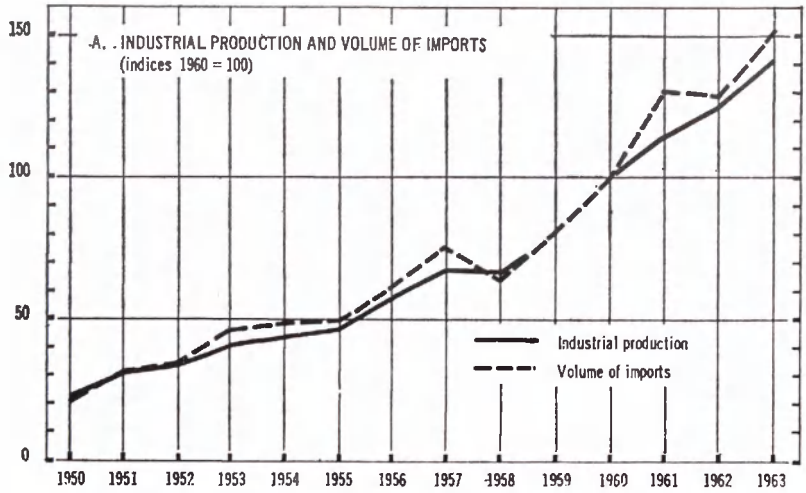
In percentage.

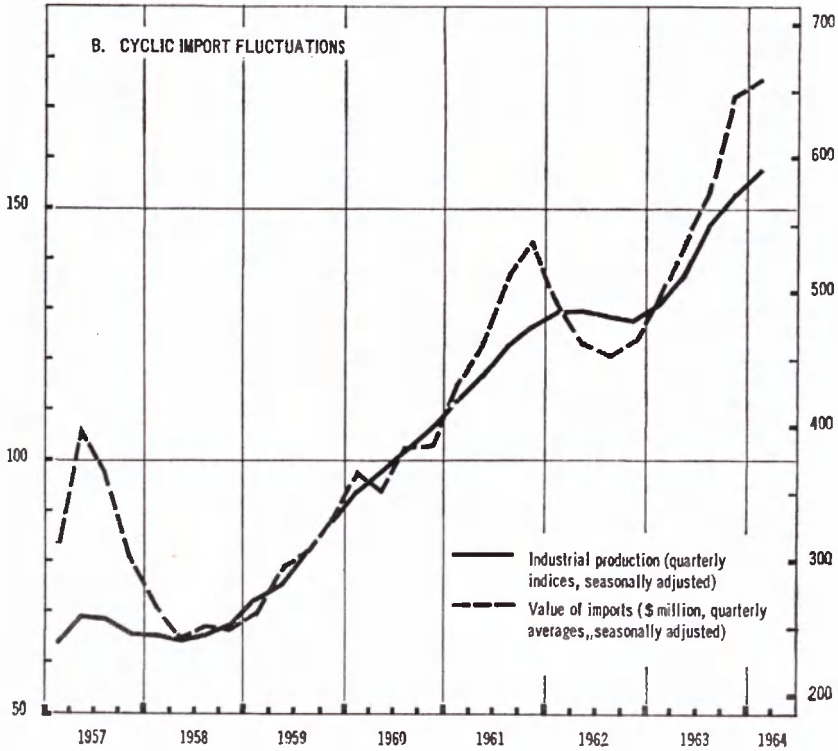
	1953-1955		1960-1963	
	EXPORTS	IMPORTS	EXPORTS	IMPORTS
Food	7.8	26.1	6.0	13.6
Raw Materials	6.0	49.3	3.7	43.9
Mineral Fuels	0.5	11.6	0.4	17.5
Manufactured Goods	85.2	12.9	89.3	24.8
Others	0.5	0.1	0.6	0.2
	100.0	100.0	100.0	100.0

Source: Economic Statistics of Japan 1963.

76. The post-war years saw important changes in the regional pattern of imports. Compared with before the war the shares of North and South America rose sharply while that of Asia diminished; China had formerly been an important source of imports. But most of this change had already taken place by 1953; recent years have been marked by a substantial increase of imports from western Europe and a further diminution of Asia's share, despite the steady increase of oil imports. For several years now imports from the Soviet bloc have been rising appreciably.

Diagram 4. INDUSTRIAL PRODUCTION AND IMPORTS





Source: O.E.C.D. Statistical Bulletins.

TABLE 11. EXPORTS AND IMPORTS BY GEOGRAPHIC AREA

In percentage.

	1934-1936		1953-1955		1961-1963	
	EXPORTS	IMPORTS[1]	EXPORTS	IMPORTS	EXPORTS	IMPORTS
Asia	52.5	36.5	47.4	33.4	35.2	28.5
of which: Mainland China	23.8	14.0	1.1	2.1	0.8	0.8
Sino-Soviet Block[2]			1.4	2.4	3.8	3.9
Europe	10.7	13.0	9.6	7.9	16.0	12.9
of which: E.E.C.	4.3	6.5	4.0	4.1	5.6	5.8
E.F.T.A.			4.3	2.8	5.8	4.0
North America	22.7	35.1	24.0	43.4	29.6	41.8
of which: U.S.A.	20.8	32.2	19.4	32.6	27.1	32.8
South America	2.8	2.3	7.2	5.6	7.3	4.2
Africa	7.7	3.4	9.6	2.3	8.2	3.7
Oceania	3.7	9.0	2.2	7.4	3.7	8.9

1. Distribution incomplete.
2. North Korea, China, Mongolia, North Viet Nam, East Germany, Poland, U.S.S.R., Czechoslovakia, Hungary, Albania, Roumania and Bulgaria.

Source: Economic Statistic of Japan 1963.

77. The original estimates of the Ten-Year Plan foresaw imports rising by 9.3 per cent a year, to a total of $ 9.9 billion (c.i.f.) in 1970, and with the share of manufactured goods about doubling. These estimates have, clearly, to be revised upwards because, between 1958 and 1963, the volume of imports rose by as much as 19 per cent a year and by the beginning of 1964, the value of imports was already running at an annual rate of around $ 7 billion. Not only has activity in Japan risen more steeply than projected, but the elasticity of imports in relation to the gross national product or industrial production has been higher than expected. The original plan envisaged an import elasticity of 1.19 in relation to the gross national product, and 0.78 in relation to industrial production; during the last five years, in fact, elasticities of 1.52 and 1.15 have been observed. The forces behind this trend — e.g. progressive liberalisation and the changing pattern of home demand — will no doubt continue in the years ahead; but rising imports on anything like the recent scale would probably create serious problems for Japan's balance of payments.

EXPORTS

78. In the last ten years the growth of Japanese exports has averaged 14.7 per cent per year, the fastest rate of any industrialised country. Thus the elasticity of Japanese exports in relation to the volume of

world imports (where the rise has averaged 6.8 per cent a year) has been very high — and the same would be true if trade in manufactured goods, rather than total trade, were considered. Many factors underlie this remarkable record; but obviously the competitivity of Japanese prices has been of major importance. Between 1953 and 1963, at a time when Japanese exports were becoming increasingly concentrated on the more elaborate manufactured goods, the average unit value of exports fell by 10 per cent while North America and western Europe experienced increases of 10 per cent and 4 per cent respectively. Indices of average unit value do not, of course, necessarily reflect actual movements of export prices very closely; but the figures cited above certainly give a general indication of the contrasting directions in which export prices have been moving for Japan and other industrialised countries. Japan's export elasticity in relation to world imports has averaged around 2 during the past decade (in current value terms).

79. Japanese exports consist essentially of manufactured products (they now account for 90 per cent of the total). But within this broad category, the composition of exports has been changing considerably. The traditionally important exports, such as textiles and non-metallic manufactures, have been increasing least; the export boom has, above all, been concentrated on chemical products and metal goods and machinery, which by 1963 accounted for about half the export total. The changing pattern of exports reflects the re-shaping of Japan's industrial structure and increased competition by less-developed countries on the light manufacturing market.

80. Japan has lost a large part of her pre-war export market in Asia because of the deterioration of trade relationships which has followed political developments. She has made up for this by increasing her exports towards the Americas, particularly South America, and Africa. The relative importance of the Asiatic market has shrunk continuously during the past decade; recent years have seen a substantial increase of sales to Europe and North America which, together, now represent 46 per cent of Japan's total exports, compared with 34 per cent in 1953-55.

81. According to the original Ten-Year Plan, exports were expected to rise at the same rate as imports — i.e. 9.3 per cent a year — and to reach some $ 9.3 billion by 1970. The assumption was that the elasticity of Japan's exports in relation to world trade would remain around 2, and that world trade would expand by about 4.5 per cent a year. In fact, Japan's exports have been expanding in the last five years at about 13.5 per cent a year in value and some 12 per cent in real terms. The export elasticity has not turned out to be higher than expected, but world trade has expanded faster than envisaged when the plan was drawn up — by some 6 per cent in value. In this field too, grounds for preoccupation exist, for it would be unsafe to assume that world trade will expand even faster, and Japan's export elasticity may tend to

TABLE 12. CHANGES IN FOREIGN TRADE IN 1963 BY CATEGORY OF PRODUCTS 1953-63

Volume indices, 1953 = 100.

EXPORTS:	
A. Total	483.2
Food	228.8
Textiles	285.0
Chemicals	759.4
Non-metallic Manufactured Goods	322.1
Metallic Goods	615.3
Machines	901.4
Others	557.9
B. Total	483.2
Food	228.8
Raw Materials	226.5
Manufactured Goods	537.0
IMPORTS:	
A. Total	321.5
Food	194.4
Textile Fibers	169.9
Metalliferous Ores and Scrap	520.2
Other Raw Materials	362.4
Mineral Fuels	571.2
Chemicals	439.9
Machines	330.1
Others	753.6
B. Total	321.5
Food	194.4
Raw Materials	286.6
Mineral Fuels	571.2
Manufactured Goods	443.7

Source: Economic Statistics of Japan 1963.

fall as a result of pressures on domestic costs. If imports continue to rise at the sort of rate experienced in the early years of the plan, an uncomfortably large trade gap would seem likely to develop.

COMMERCIAL POLICY

82. Japanese import policies have become much freer in recent years. Products on the liberalised list now amount to 93 per cent compared with 41 per cent in April 1960.[1] The foreign exchange allocation system was abolished as of 31st March, 1964 and was replaced by import quotas for non-liberalised goods. A system of compulsory

1. Percentages calculated on the basis of 1959 trade. On the basis of present imports, liberalisation amounts to about 90 per cent.

prior deposits for importers is, however, still in operation and is regarded as a normal policy weapon for controlling the course of imports. Thus in March 1964, such deposits were raised from 1 per cent to 5 per cent on imports of raw materials and equipment goods (whether or not liberalised), and from 5 to 35 per cent for consumer goods. Moreover, the foreign exchange banks were required to transfer such deposits immediately to the Bank of Japan.

83. The Japanese Government has announced its decision to make further progress in liberalising imports of manufactured goods and is studying the problem of tariff reduction. It feels, however, that the speed with which progress can be made is limited by two factors. First, many industrialised countries maintain discriminatory quantitative restrictions against Japanese exports, or will only place them on their liberalisation lists after agreements have been negotiated fixing upper limits to sales by Japanese exporters. Second, some Japanese industries, and the greater part of the small and medium sized Japanese firms, are thought to be in danger of competition they could not meet if quantitative restrictions were removed. In the view of the Japanese authorities, tariff protection is relatively weak for some products, and the corresponding quantitative restrictions could not be removed very early.

84. Japanese exporters benefit from an export credit guarantee system which very much resembles that of the Export Credits Guarantee Department of the United Kingdom. The system is run by an independent agency. The government also intervenes in the export business insofar as it has power to exercise quality controls on and to protect good designs of commodities exported based on the Export Inspection Law and the Export Goods Design Law. The Orderly Export Marketing Act also affects the conditions in which export business is carried on by encouraging firms to form associations and groups which draw up agreements governing the total amounts to the exported and the distribution of export volume among the associates; the government may impose " outsider control order " on exporters who do not belong to the association which drew it up in cases when orderly marketing cannot be attained by such associations and agreements alone.

Current Invisible Transactions

85. Japan's balance on all types of current invisible transactions, including purchases by the United States armed forces, has deteriorated constantly in the last ten years. By 1962 the invisible deficit amounted to $ 420 million, and in 1963 it rose to $ 581 million. Purchases by United States armed forces fell substantially (from $ 800 million in 1953 to $ 377 million in 1962); payments of interest and royalties are continuously increasing and so, particularly, are net payments for freights following the growth of foreign trade. In fiscal year 1962,

Japan carried only 46 per cent of her foreign trade in her own ships, compared with 59 per cent in fiscal year 1958.

86. The prospects are for a further deterioration. Purchases by the United States forces will probably fall further; payments on freights, royalties and dividends are likely to increase, particularly with the liberalisation of these transactions which will follow Japan's accession to Article 8 of the I.M.F. and her full membership of the O.E.C.D. The authorities are making special efforts to improve the balance on maritime transport. Long-term loans at favourable interest rates are being granted to transport companies to help them increase the size of their fleets, and the amount set aside for this purpose is expected to be increased considerably in 1965.

Capital Movements

87. Between 1953 and 1963, Japan's cumulative deficit amounted to $ 1.4 billion on goods and services, plus another $ 0.3 billion on unilateral transfers. The gross official reserves, however, rose by some $ 0.9 billion during this period, because Japan received a net capital inflow of nearly $ 2.5 billion.

88. Long-term private capital provided little of the inflow, although it has been rather more important during the last few years. Nearly $ 1 billion flowed in over the decade as a whole, but almost $ 500 million left Japan. Public loans from the United States and the World Bank amounted to some $ 525 million. The rest consisted of private short-term capital, and the major element here was the increasing foreign indebtedness of the commercial banks — notably to United States' banks.

89. At the end of fiscal 1963, $ 2 billion out of accumulated amounts of validated foreign investment of $ 3.2 billion represented loans. Of the remainder, $ 640 million consisted of Japanese securities purchased by non-residents, and $ 460 million Japanese bonds floated on foreign capital markets. $ 1.3 billion of the loans were obtained from the United States ($ 420 million from the Export-Import Bank), $ 560 million were provided by the World Bank and the rest by Europe. Some 70 per cent to 80 per cent of non-resident holdings of Japanese securities are held by the United States. Three-quarters of Japan's issues on foreign markets were made in the United States, and the rest in Europe.

90. Up to now the Japanese authorities have followed a rather restrictive policy in respect of long-term foreign investment. The predominant preoccupations seem to have been to avoid any substantial increase in dividend out-payments and repatriation which might follow such a capital inflow and, more easily understandable given the balance of payments situation, to restrain any tendency for Japanese capital to flow to other countries. The authorities have indicated

that they intend to relax restrictions in both directions during the coming years.

91. The size of Japan's private short-term foreign indebtedness, and its tendency to fluctuate, constitute a problem both for Japan and from the point of view of the international payments situation in general. The annual variation in short-term indebtedness of private firms other than the commercial banks has tended to be small; but during 1962 and 1963, this indebtedness increased by $ 100 million each year. While there were no increases in the net short-term indebtedness of commercial banks to foreign banks during the moderate recessions of 1958 and 1962, this item accounted for increases of $ 394 million during 1960, $ 552 million in 1961, and $ 416 million in 1963. Hence, since the end

TABLE 13. BALANCE OF PAYMENTS FOR JAPAN

Millions of $.

	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
1. Merchandise imports f.o.b.	2,050	2,041	2,061	2,608	3,242	2,500	3,047	3,711	4,707	4,459	5,544
2. Merchandise exports f.o.b.	1,260	1,614	2,008	2,483	2,847	2,876	3,412	3,982	4,149	4,861	5,390
3. Trade balance	−790	−427	− 53	−125	−395	376	365	271	−558	402	−154
4. Net services	564	347	258	66	−191	87	24	−103	−383	−420	−462
of which:											
5. purchases of goods and services by the U.S. and U.N. armed forces	803	603	505	498	449	404	381	413	389	377	356
6. purchases of goods and services by the U.S. and other diplomatic missions[1]	..	..	..	24	34	19	10	11	12	14	12
7. Net goods and services	−226	− 80	205	− 59	−586	463	389	168	−941	− 18	−735
8. Private transfer payments	21	29	31	33	31	36	43	55	57	54	40
9. Central government transfer payments	−	−	− 11	− 8	− 65	−235	− 71	− 80	− 98	− 85	− 83
of which:											
10. United States grants	−	−	13	12	10	10	−	−	−	−	−
11. Current account balance	−205	− 51	225	− 34	−620	264	361	143	−982	− 49	−778
12. Direct private investment in Japan	11	19	6	16	30	12	18	6	59	58	101
13. Direct private investment abroad	..	..	..	− 27	− 33	− 27	− 48	− 79	− 93	− 77	−122
14. Other private long-term capital	8	4	− 23	− 50	− 7	56	9	− 10	− 7	167	513
15. Long-term public capital	− 12	− 1	57	24	2	41	53	27	27	4	− 47
of which:											
16. loans from the U.S. and I.B.R.D.	−	11	65	40	54	74	65	80	73	64	49
17. variations in U.S. yen account provided from the sale of surplus agricultural commodities	−	−	8	4	− 28	− 14	− 3	− 3	− 5	− 3	− 4
18. Private short-term capital	− 37	− 9	102	59	77	− 4	− 60	− 16	21	107	97
19. Errors and omissions	1	18	−102	14	5	72	57	33	19	6	62
20. Overall balance	−234	− 20	265	2	−546	414	390	104	−956	216	−174
21. Short-term liabilities of commercial banks	6	3	3	136	40	− 31	216	596	782	101	854
22. Short-term assets of commercial banks[2]	..	..	..	− 82	− 40	− 45	−119	−202	−230	− 87	−438
23. Net I.M.F. position[3]	63	−	− 62	−	125	−125	− 62	−	− 55	−	−
24. Official reserves in gold and foreign exchange[3]	156	85	− 31	−172	417	−337	−390	−501	352	−356	− 37
25. Other net assets and liabilities of central monetary institutions[3]	9	− 68	−175	116	4	124	− 35	3	107	126	−205

1. The sale for yens of surplus agricultural commodities by the United States is used either to finance the purchase of goods and services by the Government of the United States (see item 6) or as loans to Japan (see items 10 and 16). The balance is credited to the United States in an account with the Bank of Japan; net variations in this account are carried in item 17.

2. — = increase.

Source: I.M.F. Balance of Payments Yearbook, Vol. 8, 10, 12 and 15.

of 1957, the net private short term liabilities of Japan have increased by about $ 1.6 billion (cf. Table 13, lines 18, 21 and 22). It is the policy of the Japanese authorities not to encourage but rather to discourage the inflow of short-term funds. Since the beginning of 1963, they have been restraining the banks from offering interest rates above the prevailing rate. The Japanese banks have also been instructed to hold foreign exchange corresponding to 20 per cent of their foreign liabilities, and since February 1963, to 35 per cent of any increase in their foreign liabilities over the outstanding amount during December 1962.

92. Japan's gross central reserves have fluctuated rather substantially during the past ten years. At their present level of some $ 1.8 billion, they represent less than three months' imports at the rate prevailing in 1964.

VI. CONCLUSIONS

93. The Japanese economy faces many problems in the years ahead. But before considering these it is relevant to ask whether the remarkable successes of the last fifteen years contain any lessons relevant to the policies of other O.E.C.D. countries.

94. Some of the factors which played an important role in Japanese growth lie outside the field of action of economic policies. For example, Japan began the period with a large pool of unemployed or underemployed labour. Moreover, such phenomena as the highly dynamic attitude of the Japanese producer, and the savings habits of the medium and lower income groups, may owe much to non-economic influences rooted in Japanese society and culture.

95. But some of the keys to Japan's experience over the last fifteen years may be of general relevance. The readiness of business to invest is thought in Japan to have been stimulated by the process of central economic planning in the sense that it has strengthened the confidence of businessmen in the continued expansion of demand and has helped them to form a judgment as to the directions in which this expansion would take place. A high level of fixed investment must also have been stimulated by the promptness the authorities have shown in intervening to arrest inflationary developments, and reverting to expansionary policies as soon as the inflation had been overcome. Other considerations falling within the scope of economic policy include the ease with which business, lacking an efficient capital market, has been able to turn to bank credit for the external finance of its investment plans.

96. The conditions of future growth have been modified by the very success of the growth process up to now. It will become gradually more difficult to draw substantial supplies of labour from agriculture.

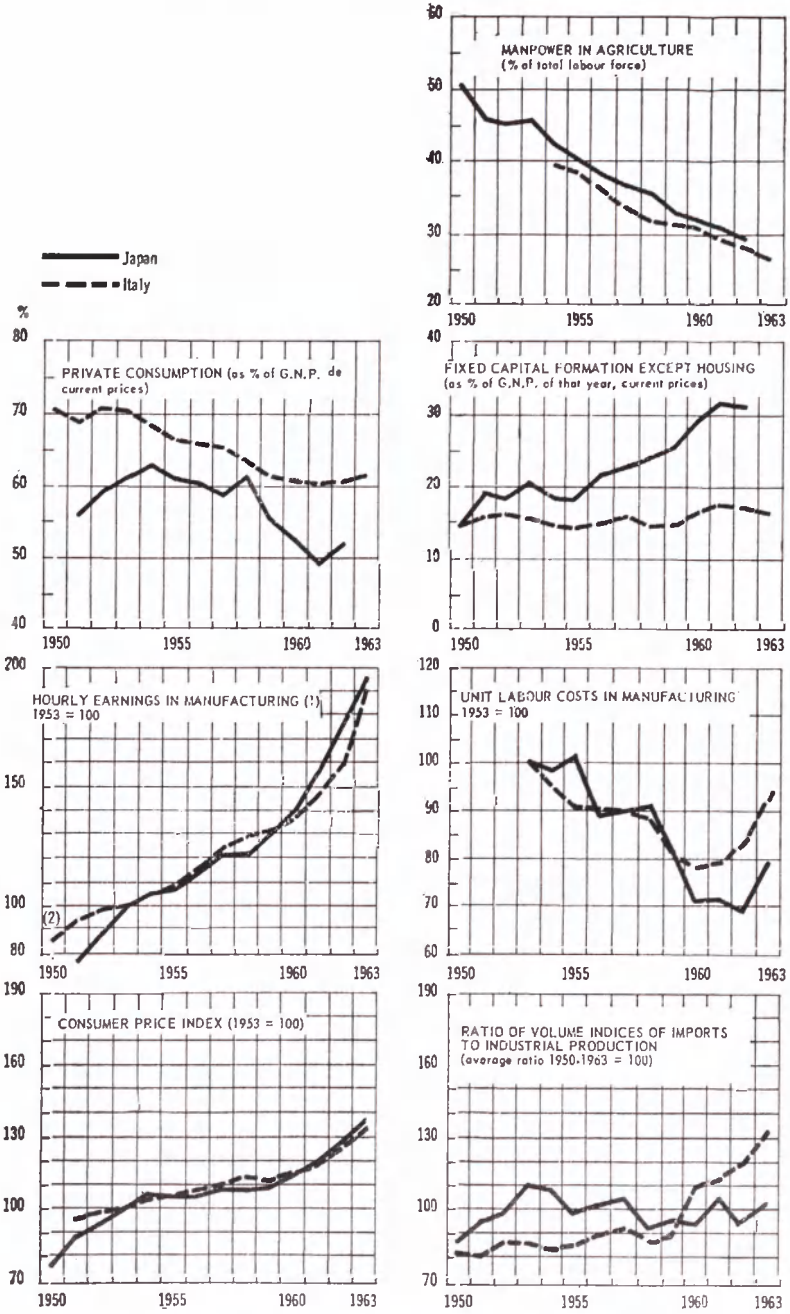
This may be replaced by drawing on the large numbers at present employed in the low productivity small and medium firms; but this process will not be free from difficult social and economic problems. It is also possible that the transformation of Japan into a modern, industrialised society will lead to some erosion of some of the non-economic factors which have been helping the growth process — e.g. the savings habits of the population.

97. The progressive drying-up of man-power reserves affects growth in various ways. It reduces the rate of overall growth. It may diminish the elasticity of supply, in as much as redeployment of employed labour is always more difficult than recruitment of new workers. More importantly, it causes increasing upward pressure on wages and costs well before full employment conditions can properly be said to have been reached. Japan's experience in this respect seems likely to be closely akin to that of, for example, Italy, in recent years in demonstrating the viscosity of the labour market. (See diagram 5). For some time already, the tendency for unit labour costs to fall in Japan seems to have stopped, and some reverse movement to have begun to take place. And here Japan has had another experience not unknown to Member countries: when unit labour costs fall, prices are only stable, and when, as recently, they start rising, prices do so as well. It appears far easier to redistribute national income in favour of profits in a period of under-employment and increasing productivity than it is to do the reverse in full employment conditions. The downward rigidity of profits (and investment) could in the future become an important element on the development of an inflationary spiral.

98. From 1950 to 1962, the share of productive investment in the gross national product rose from less than 15 per cent to more than 30 per cent. This process, obviously could not go on for very long, and, at some stage or other, a re-shaping of the use of resources in favour of consumption would seem inevitable. What is important is that it should be achieved gradually. Achievement of a smooth transition to an economy in which investment ceases to absorb an increasing part of total output — and may, indeed, settle down at a rather lower percentage of gross national product than at present — will constitute a major task for the authorities in the next few years. It may require them to work out a policy for the balanced expansion of incomes and to persuade both employers and labour to accept it. It will certainly require that the business cycle policies of the authorities are closely adjusted to prevailing conditions, so that they can slow down the expansion process without being forced to stop it — a question discussed further in paragraph 102 below.

99. The balance of payments may, henceforth, constitute a greater obstacle to achievement of the desired growth rate than during the past decade. The 1950's showed the speed with which the Japanese economy can run into large external deficit when, momentarily, the

Diagram 5. **JAPAN AND ITALY**
TWO GROWTH EXPERIENCES COMPARED



1. For Italy: including family allowances; excluding 13th month bonus.
2. Provisional.

increase of demand gets out of hand. But the task of preserving balance is made more difficult by the fact that, as the structure of home demand changes with rising incomes, the propensity to import seems to increase. During the last ten years, Japan has been helped by falling prices of imported raw materials; if this windfall comes to an end, the problem of external balance will be still further complicated.

100. The Ten-Year Plan postulated a growth rate of about 7.2 per cent a year. This would seem feasible enough from the point of view of Japan's own production potential. But recent experience suggests that such a growth rate would be accompanied by an average increase of imports of at least 12 per cent or 13 per cent by volume — unless Japanese output can be adapted even faster than heretofore to the changing pattern of demand. A similar increase of exports will require continuously successful policies to moderate the rise of costs and prices. Because, even if world trade continues to expand at about 6 per cent a year, Japan's export elasticity in relation to world imports would have to remain at 2 to avoid a deterioration of the balance.

101. When growth is rapid economic policy-makers are faced, continuously, with new problems to solve. And in Japan today, even the nature of short-term problems concerning the management of demand may change. The authorities, up to now, have been able to deal with booms by tightening monetary policy, because the booms have been characterised by an exuberance of fixed investment or stock-building. But — if as may well happen in the future — the main dynamic factor becomes consumption, the effectiveness of tighter money may be less certain; and in so far as it is effective, it may be so with greater delay and at greater cost. This may require in the future a greater use of budgetary policy than has generally been the case up to now.

102. The Japanese Government has stated its desire to pursue the more liberal import policies which it instigated a few years back. The benefits of such a policy, in strengthening the forces of competition and resistance to rising costs and prices, may be very considerable. It is to be hoped that determination on the part of the Government to go further down this road will be matched by co-operative attitudes by other countries, particularly inside the O.E.C.D., to reduce the overt or covert discrimination against Japanese exports which Japan's authorities regard as an important obstacle at present.

103. Japan has been able to bring her gold and foreign currency reserves to a reasonable level, despite a consistent current deficit, through continuous capital imports. But to an appreciable extent, the capital inflow has been of a short-term nature. The Japanese authorities are aware of the potential danger of too high a dependence on short-term borrowing abroad and are taking steps to prevent them. The Japanese economy will, no doubt, continue to be a net importer of capital in the

near future; but it is highly desirable that, as the industrialisation process continues, Japan should progressively move towards the position of net capital exporter. And it would seem appropriate that the Japanese authorities begin to extend to the long-term capital movements the principles of liberalisation which they increasingly apply to current transactions.

STATISTICAL ANNEX

TABLE I. STRUCTURAL STATISTICS

		UNIT OR BASE	1936	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
A.	POPULATION, WORK FORCE:																
1.	Total population[1]	Million	69.59	83.20	84.50	85.80	87.00	88.20	89.28	90.17	90.92	91.76	92.64	93.42	94.28	95.18	96.16
2.	Population of working age (15-65 yrs.)[2]: *Total*	»					52.46	53.31	54.19	55.42	56.63	57.77	58.87	59.55	60.22		
3.	Men	»						25.93	26.36	26.92	27.58	28.13	28.67	28.99	29.29		
4.	Women	»						27.39	27.83	28.49	29.05	29.65	30.21	30.58	30.94		
5.	Labour force[1]: *Total*	»		36.16	36.60	37.75	39.89	40.55	41.94	42.68	43.63	43.87	44.33	45.11	45.62	46.14	46.52
6.	Men	»		21.93	22.13	22.72	23.74	24.03	24.55	25.04	25.65	25.86	26.25	26.73	27.09	27.53	27.91
7.	Women	»		14.23	14.48	15.04	16.14	16.52	17.40	17.65	17.98	18.02	18.08	18.38	18.54	18.61	18.62
8.	Employed workers[1]: *Total*	»		35.72	36.22	37.29	39.36	39.89	41.19	41.97	43.03	43.24	43.68	44.61	45.18	45.74	46.13
9.	Men	»		21.64	21.89	22.42	23.46	23.66	24.12	24.67	25.36	25.50	25.91	26.48	26.87	27.35	27.72
10.	Women	»		14.08	14.33	14.86	15.89	16.22	17.05	17.30	17.67	17.73	17.76	18.12	18.30	18.39	18.41
11.	Unemployment[1]: *Total*	Thousand	341	440	390	470	530	670	760	710	590	630	650	500	440	400	400
12.	Men	»		290	240	290	280	370	420	370	290	360	350	250	210	180	190
13.	Women	»		150	150	170	250	300	340	340	310	290	310	260	240	220	210
14.	Population employed in agriculture, forests and fisheries[1]: *Total*	Million	14.78*		16.69	16.89	16.69	16.19	16.54	16.15	15.80	15.20	14.62	14.49	14.09	13.69	12.96
15.	— Independents	»			5.78	5.81	5.52	5.39	5.48	5.51	5.57	5.37	5.21	5.25	5.12	4.99	4.86
16.	— Unpaid family workers	»			10.22	10.41	10.45	10.12	10.40	9.89	9.50	9.18	8.62	8.37	8.23	8.04	7.53
17.	— Dependant employees	»			0.68	0.68	0.72	0.69	0.66	0.74	0.78	0.67	0.79	0.87	0.74	0.66	0.57
18.	Population employed in manufacturing, mining and construction[1]: *Total*	»	8.87*		8.17	8.60	9.48	9.71	9.86	10.31	11.08	11.56	11.85	12.38	13.17	13.90	14.25
19.	— Independents	»			1.18	1.27	1.34	1.40	1.44	1.40	1.38	1.41	1.42	1.41	1.45	1.45	1.49
20.	— Unpaid family workers	»			0.72	0.83	1.03	1.08	1.04	0.92	0.87	0.89	0.80	0.75	0.74	0.80	0.79
21.	— Dependant employees: — daily paid	»			6.26	6.51	0.83	0.84	0.93	0.89	1.09	1.01	0.81	0.76	0.77	11.66	11.94
22.	— others	»					6.24	6.40	6.45	7.08	7.74	8.25	8.83	9.48	10.19		
23.	Population employed in services[1]: *Total*	Million	9.15*		11.37	11.78	13.27	13.97	14.76	15.51	16.14	16.47	17.22	17.75	17.91	18.12	18.89
24.	— Independents	»			3.01	3.05	3.21	3.36	3.49	3.55	3.68	3.52	3.64	3.68	3.56	3.38	3.46
25.	— Unpaid family workers	»			1.59	1.71	2.12	2.34	2.40	2.42	2.49	2.36	2.40	2.39	2.25	2.10	2.16
26.	Dependant employees: — daily paid	»			6.77	7.03	0.21	0.22	0.28	0.32	0.30	0.30	0.16	0.16	0.16	0.17	0.18
27.	— others	»					7.74	8.07	8.58	9.20	9.69	10.31	11.04	11.50	11.96	12.48	13.08
28.	Average monthly hours worked by regular employees in manufacturing[3]	Hours				194.4	196.7	195.9	198.0	204.4	202.9	201.4	204.7	207.0	203.4	198.4	196.9
B.	ORIGIN AND UTILISATION OF RESOURCES:																
1.	Index of industrial production[4]: *Total*	1960 = 100	32.3	23.0	31.4	33.7	40.7	44.1	47.4	58.4	67.9	67.0	80.3	100.0	119.3	129.1	142.1
2.	Extractive industries	»	71.6	63.6	73.1	75.5	80.9	77.9	78.3	86.5	95.4	92.5	91.6	100.0	107.0	109.4	107.7
3.	Manufacturing	»	31.5	20.4	28.8	31.1	38.5	42.2	45.7	56.4	66.9	65.7	79.6	100.0	119.9	130.1	143.7
4.	Beverages, food and tobacco	»	58.2	35.0	44.3	45.7	67.7	73.3	77.8	81.9	85.8	89.6	94.6	100.0	108.2	117.1	120.9
5.	Metals	»	22.7	23.4	30.8	31.6	36.7	39.3	43.4	52.7	59.9	57.3	76.1	100.0	124.7	123.7	138.8
6.	Machinery	»	11.4	11.9	19.2	19.7	25.0	28.2	28.5	41.4	57.6	56.5	72.6	100.0	129.0	145.0	159.5
7.	Textiles	»	84.5	28.7	40.3	45.9	55.0	59.1	65.5	76.9	84.2	75.9	86.3	100.0	106.0	110.0	114.9
8.	Chemicals	»	25.3	19.3	26.1	28.9	35.9	41.3	47.9	58.8	63.2	70.7	81.9	100.0	114.9	130.8	155.6
9.	Buildings started[2]	Million m²		29.74	32.45	34.36	35.12	34.11	33.92	40.87	43.67	42.43	50.77	61.46	76.87	76.65	86.83
10.	Of which dwellings	»		15.10	16.56	18.06	18.98	18.42	18.89	22.14	23.47	24.22	26.99	31.11	37.32	38.46	45.35
11.	Index of agricultural production[3]	1950-52 = 100	(102)	94.7	93.5	107.8	93.4	102.9	124.5	117.4	122.1	127.2	130.6	136.9	138.4	140.6	
	Origin of net domestic product at current factor cost[3]:																
12.	Agriculture, forests and fisheries	Bill. Yen			1,095	1,233	1,253	1,316	1,508	1,457	1,531	1,552	1,649	1,779	1,986	2,201	2,388
13.	Mining and manufacturing	»			1,263	1,348	1,539	1,596	1,636	2,078	2,456	2,342	2,859	3,666	4,467	4,955	5,622
14.	Construction	»			152	209	261	294	319	371	423	457	545	686	901	1,067	1,259
15.	Other sectors	»			1,838	2,178	2,611	2,803	3,099	3,511	3,898	4,042	4,651	5,419	6,442	7,276	8,456
	Gross National Expenditure in current prices[3]:																
16.	Private consumption	Thousand Billion Y.			2.86	3.51	4.22	4.67	5.01	5.43	5.89	6.20	6.70	7.51	8.58	9.96	11.49
17.	Public consumption	»			0.47	0.64	0.68	0.83	0.89	0.87	0.99	1.11	1.13	1.35	1.48	1.75	2.05
18.	Gross fixed domestic capital formation	»			1.01	1.16	1.51	1.51	1.47	2.04	2.68	2.67	3.26	4.34	5.99	6.59	7.09
19.	Variations in stocks	»			0.61	0.43	0.43	0.31	0.66	0.63	0.74	−0.20	0.78	0.79	1.49	0.71	1.21
20.	Exports of goods and services	»			0.87	0.85	0.88	0.95	1.05	1.23	1.37	1.35	1.55	1.80	1.85	2.14	−0.26
21.	Imports of goods and services	»			0.71	0.72	0.87	0.88	0.91	1.21	1.55	1.15	1.39	1.73	2.20	2.15	
22.	Gross National Product	»			5.10	5.88	6.85	7.38	8.17	9.00	10.12	9.97	12.04	14.07	17.20	19.00	21.58
23.	Private consumption	Thousand Billion Y. at 1955 prices					4.53	4.68	5.00	5.39	5.69	6.01	6.43	7.02	7.61	8.26	
24.	Public consumption	»					0.73	0.83	0.89	0.87	0.95	1.07	1.09	1.26	1.31	1.45	
25.	Gross fixed domestic capital formation	»					1.44	1.49	1.48	1.90	2.40	2.62	3.17	4.18	5.47	6.05	
26.	Variations in stocks	»					0.44	0.31	0.67	0.60	0.69	−0.19	0.75	0.75	1.34	0.67	
27.	Exports of goods and services	»					0.81	0.91	1.06	1.19	1.30	1.32	1.49	1.69	1.78	2.10	
28.	Imports of goods and services	»					0.82	0.86	0.91	1.17	1.41	1.22	1.57	1.96	2.54	2.53	
29.	Gross National Product	»					7.14	7.36	8.19	8.79	9.61	9.61	11.37	12.92	14.97	16.01	

* 1940.

Note: Data in lines 14-27 prior to 1953 is not on same basis as afterwards, due to a change in the "Labour Force Survey."

TABLE I. STRUCTURAL STATISTICS *(continued)*

	Unit or Base	1936	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
C. Prices and Wages:																
1. Index of wholesale prices[3]	1960 = 100		70.1	97.3	99.2	99.9	99.2	97.4	101.7	104.8	97.9	98.9	100.0	101.0	99.3	101.1
2. Index of consumer prices[3]: *Total*	»		67.6	78.7	82.6	88.0	93.7	92.7	93.0	95.9	95.5	96.5	100.0	105.3	112.5	121.0
3. — Food	»		71.2	82.0	85.1	90.2	97.5	94.6	93.5	96.9	95.8	96.3	100.0	106.1	114.7	125.5
4. — Other expenditures	»		64.6	76.0	80.5	86.2	90.6	91.1	92.6	95.1	95.3	96.7	100.0	104.6	110.7	117.3
5. Index of hourly earnings in manufacturing[5]	»				64.6	71.5	75.3	77.7	82.2	85.4	88.7	93.6	100.0	113.8	127.7	142.1
D. Public Finance:																
1. Out-turn of the Central Government Budget[4] — Receipts	Billion Y fiscal year	9	2,103	1,867	2,062	2,260	2,290	2,428	2,657	2,908	3,012	3,330	3,866	4,660	4,278	5,697
2. — Expenditures	»	8	1,813	1,601	1,667	1,919	2,009	2,169	2,284	2,463	2,636	2,916	3,269	3,740	4,378	5,056
3. Central Government Debt[4]	Billion Y	11	554	645	827	851	933	1,057	1,000	970	1,075	1,253	1,340	1,223	1,281	
4. — of which short-term debt	end of year	0	118	194	279	240	334	455	410	363	467	578	680	581	667	
5. Government Affiliated Organizations — Receipts	fiscal Billion Y		492	595	570	769	845	878	978	1,143	1,232	1,377	1,639	2,049	2,369	
6. — Expenditures	»		502	448	415	603	712	735	837	1,004	1,065	1,207	1,430	1,847	2,175	
E. Money and Credit[7]:																
1. Money	Thousand					1.94	2.01	2.33	2.71	2.82	3.19	3.71	4.42	5.26	6.16	8.24
2. Net claims on government by the monetary system	billion Y					0.00	0.17	0.37	0.38	0.40	0.60	0.74	0.80	0.70	0.77	1.01
3. Net claims on the private sector by the monetary system	end of year					3.78	4.16	4.68	5.92	7.25	8.50	10.29	12.87	16.38	19.42	24.39
4. Claims on government by the Bank of Japan	»					0.32	0.38	0.45	0.45	0.36	0.42	0.46	0.39	0.26	0.28	0.34
5. Claims on commercial banks by the Bank of Japan	»			0.36	0.32	0.44	0.32	0.09	0.16	0.58	0.38	0.32	0.47	1.26	1.22	1.35
6. Claims on the public sector by the commercial banks	»					0.11	0.14	0.20	0.24	0.28	0.30	0.34	0.42	0.49	0.53	0.70
7. Claims on the private sector by the commercial banks	»				2.26	2.88	3.09	3.42	4.38	5.36	6.18	7.37	8.98	10.96	12.75	16.01
F. Foreign Balance:																
1. Gold and foreign exchange reserves[3]	Million $ end of period	297*	(523)	(804)	930**	913**	637**	738**	941	524	861	1,322	1,824	1,486	1,841	1,878
Foreign trade[8 & 9]:																
2. Exports	Million $	931	820	1,355	1,273	1,275	1,629	2,011	2,501	1,858	2,877	3,456	4,055	4,236	4,917	5,452
3. Imports	»	944	974	1,995	2,028	2,410	2,399	2,471	3,230	4,284	3,033	3,599	4,491	5,811	5,637	6,736
4. Trade balance	»	−13	−154	−640	−755	−1,135	−770	−460	−729	−1,426	−156	−143	−436	−575	−720	−1,284
5. Volume index of exports	1953 = 100		78	87	92	100	132	173	210	232	244	293	337	361	429	483
6. Volume index of imports	(monthly		45	67	74	100	103	105	132	162	137	171	212	277	273	322
7. Index of the terms of trade	average)		91	98	95	100	100	93	91	87	100	106	106	105	105	102
Balance of payments[6]:																
8. Balance of goods and services	Million $		72	158	190	−226	−80	205	−59	−586	463	389	168	−941	−18	−735
9. Unilateral transfers	»		404	171	35	21	29	20	25	−34	−199	−28	−25	−41	−31	−47
10. Non-monetary private long-term capital movements	»		4	25	16	19	23	−17	−66	−10	41	−21	−83	−41	148	492
11. Non-monetary private short-term capital movements	»		1	10	22	−37	−9	102	59	77	−4	−60	−16	21	107	97
12. Non-monetary public capital movements	»			−3	−55	−12	−1	49	24	2	41	53	27	27	4	−43
13. Monetary capital and gold movements	»		−464	−370	−208	234	20	−257	−2	546	−414	−390	−140	956	−216	174
14. Errors and omissions	»		−17	9		1	18	−102	14	5	72	57	33	19	6	62

* 1937.
** End of fiscal year; March of the following year.
Note: Central Government includes General and Special Accounts with overlapping eliminated. Government Affiliated Organizations include Japan Monopoly Corp., Japan National Railway, Japan Telegram & Telephone Public Corp., and several financial institutions.

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1. Japan Statistical Yearbook.
2. O.E.C.D. Manpower Statistics.
3. Monthly Statistics of Japan.
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Table II. CURRENT STATISTICS

	Unit or Base	1961 1st Qtr.	1961 2nd Qtr.	1961 3rd Qtr.	1961 4th Qtr.	1962 1st Qtr.	1962 2nd Qtr.	1962 3rd Qtr.	1962 4th Qtr.	1963 1st Qtr.	1963 2nd Qtr.	1963 3rd Qtr.	1963 4th Qtr.	1964 1st Qtr.
A. Economic Activities:														
1. Index of industrial production[3 & 4]: *Total*	1960 = 100	113.5	116.5	120.2	127.0	131.3	129.9	126.4	128.7	133.6	137.8	143.5	153.7	161.7
2. Extractive industries	»	106.6	102.3	105.1	114.0	114.4	112.2	103.9	107.0	110.6	105.7	106.1	108.7	108.4
3. Manufacturing	»	113.9	117.3	121.0	127.6	132.4	131.0	127.5	129.5	134.5	139.3	145.2	155.9	164.4
4. Beverages, food, and tobacco	»	148.4	97.7	92.2	94.5	162.6	107.7	97.8	100.6	167.3	106.0	111.1	109.1	187.8
5. Metals	»	109.5	125.2	127.4	135.9	127.9	124.3	119.6	122.1	121.9	133.7	142.1	157.3	163.7
6. Machinery	»	116.1	124.1	134.4	141.5	144.1	148.9	145.8	141.4	144.5	156.0	166.0	176.0	172.3
7. Textiles	»	100.5	107.3	107.4	109.9	105.4	113.0	110.1	111.8	102.7	111.6	114.0	116.6	106.7
8. Chemicals	»	106.9	114.9	115.6	121.9	121.1	133.0	131.9	137.4	131.6	147.4	148.2	161.6	160.3
9. Buildings started (monthly average)[2]	Million m²	5.30	6.54	6.71	7.07	5.76	6.33	6.83	6.63	5.63	7.14	7.89	8.3	
10. New orders for machines and equipment[3]	Billions	111	114	131	102	88	80	94	80	96	108	124	117	121
11. Foreign orders	of Yen	8	12	13	18	9	13	21	12	24	27	36	25	22
12. Private orders	(monthly	89	81	97	62	66	44	52	49	54	56	66	69	76
13. Public orders	orders)	9	14	15	17	9	18	16	14	12	18	15	16	16
14. Agencies orders	»	5	7	6	5	4	5	5	5	6	7	7	7	7
15. Outstanding orders	»	984	1,079	1,170	1,211	1,183	1,140	1,083	1,033	1,021	1,054	1,134	1,171	1,225
16. Index of retail sales[10] (seasonally adjusted)	1960 = 100	113.7	117.2	122.1	127.1	132.9	137.4	142.2	147.9	155.1	164.5	171.1	171.6	174.5
17. Index of employment in manufacturing	»	106.0	113.6	114.5	115.3	116.0	123.0	121.9	126.1	120.1	127.2	126.4	125.9	125.7
18. Average monthly hours worked in manufacturing	Hours	198.3	205.6	204.2	205.7	192.3	202.1	199.0	200.9	187.6	199.6	198.9	201.6	190.7
19. Average monthly number receiving unemployment compensation	Thousand	507	381	324	311	571	451	428	431	756	601	512	488	847
20. Employment offers (average monthly)	»	1,652	1,265	774	682	2,094	1,566	1,661	2,467	2,336	1,696	2,217	3,198	3,088
B. Prices and Wages:														
1. Index of wholesale prices[3]	1960 = 100	100.1	101.1	101.6	101.2	100.4	99.2	98.8	98.9	100.3	100.8	101.3	102.0	101.7
2. Index of consumer prices[3]: *Total*	»	102.8	103.5	106.7	109.4	110.7	112.2	113.1	114.2	118.4	121.2	122.2	122.3	122.4
3. — Food	»	104.1	103.1	106.0	111.3	113.0	114.6	115.3	115.7	123.3	126.2	127.3	124.9	124.8
4. — Other expenditures	»	101.7	103.8	105.5	107.8	108.8	110.2	11.3	113.0	114.0	117.1	118.0	120.2	120.4
5. Index of hourly earnings in manufacturing[5]	»	89.1	102.9	118.5	143.6	104.4	115.1	133.8	156.9	113.9	127.6	148.4	176.3	
C. Public Finance[6]:														
Transactions with the public General Account														
1. Receipts	Billion Y		516.9	549.1	524.3	612.7	587.8	598.5	546.4	643.9	658.6	673.2	642.7	742.8
2. Of which taxes	»		442.1	488.6	487.3	557.3	509.0	540.0	511.0	588.6	570.2	612.9	606.0	693.5
3. Expenditures	»		468.0	306.1	440.7	331.8	567.9	379.8	516.7	396.8	661.9	428.7	631.0	424.2
4. Of which public works	»		36.5	18.4	39.5	47.1	46.0	29.0	59.6	56.4	42.3	26.4	61.6	60.8
5. Special accounts (net) (*a*)	»		−38.6	−66.0	−433.0	157.6	−116.6	−125.4	−498.8	185.8	−185.2	−8.5	−557.4	1,403.0
D. Money and Credit:														
1. Money supply[7]	Thousand	4.27	4.46	4.54	5.26	4.79	4.87	5.15	6.16	6.44	6.83	7.07	8.24	7.76
2. Net claims on government by the monetary system[7]	billion Y	0.49	0.48	0.34	0.70	0.30	0.40	0.38	0.77	0.51	0.64	0.60	1.01	0.67
3. Net claims on the private sector by the monetary system[7]	end of	13.88	14.70	15.59	16.38	16.85	17.44	18.36	19.42	20.66	21.59	22.91	24.29	25.02
4. Claims on government by commercial banks[7]	period	0.46	0.45	0.42	0.49	0.40	0.54	0.51	0.53	0.61	0.60	0.64	0.70	0.77
5. Claims on the private sector by commercial banks[7]	»	9.52	10.02	10.50	10.96	11.24	11.59	11.02	12.75	13.65	14.26	15.04	16.01	16.48
6. Claims on government by the Bank of Japan[7]	»	0.35	0.12	0.01	0.26	0.22	0.03	0.00	0.28	0.25	0.07	0.07	0.34	0.23
7. Claims on commercial banks by the Bank of Japan[7]	»	0.65	0.77	1.03	1.26	1.34	1.47	1.45	1.22	1.33	1.08	1.20	1.35	1.48
8. Official discount rate[7]	Per Cent	6.57	6.57	7.30	7.30	7.30	7.30	7.30	6.57	6.20	5.84	5.84	5.84	6.57
9. Call money rate[10]	Per Year	8.03	8.03	8.40	8.76	8.76	8.76	8.76	9.13	8.03	6.94	6.94	7.67	7.79
10. Index of stock market secutriies[11]	1960 = 100	135	148	150	121	134	126	126	123	133	141	126	116	114
E. Foreign Balance:														
1. Gold and foreign reserves at end of period[3]	Million $	1,997	1,912	1,610	1,486	1,561	1,623	1,720	1,844	1,863	1,902	1,906	1,878	1,816
2. Exports[3]	(monthly	316	338	360	398	344	397	437	461	375	430	473	538	438
3. Imports[3]	average)	433	487	502	515	499	486	445	449	494	565	566	621	664
4. Trade balance[3]	»	−117	−149	−142	−117	−155	−89	−8	+12	−119	−135	−93	−83	− 226
5. Volume index of exports[9]	1953 = 100	324	346	371	410	356	412	459	485	398	449	498	571	469
6. Volume index of imports[9]	»	251	278	284	293	285	279	260	266	286	325	325	352	367
7. Index of the terms of trade[9]	»	106	106	103	105	103	105	106	105	102	105	103	100	98

(a) Includes some public works.
Note: Due to rounding the sum of the details can differ from the total.

Sources:
1. Japan Statistical Yearbook.
2. O.E.C.D. Manpower Statistics.
3. Monthly Statistics of Japan.
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